

Risks in Bafin's Focus 2026

Frankfurt am Main, 28 January 2026

Foreword by the President

The current environment in the financial sector is marked by geopolitical turmoil and advancing digitalisation. Consequently, robust resilience and consistent risk provisioning remain imperative.



Source: Bafin/Matthias Sandmann

Banks and insurers showed strong profitability in 2025. However, geopolitical conflicts and increasing protectionism are fuelling uncertainty and impacting nearly all types of risk. Highly valued markets are susceptible to sudden price corrections. There are several sources of risk jeopardising financial stability. One of these is the risk of contagion

via international markets. This can arise, for example, from rapidly growing alternative forms of investment, such as the private credit market. In addition, the commercial real estate markets remain weak, and default risks for corporate loans have increased, exacerbated by the weak economic environment in Germany.

Furthermore, increasing digitalisation is not only increasing the operational risks that arise from internal processes, systems or human error, but also the risk of misuse. There are not only criminals, but also state players exploiting new technologies and channels – for purposes such as cyberattacks and money laundering via crypto service providers. The rapid growth of stablecoins is not only giving rise to money laundering risks, but could also create stability risks if confidence in such instruments were to decline. Moreover, the digital transformation and social media are creating new consumer risks: the popularity of cryptoassets, for example, poses a risk to investors who act on the advice of influencers and chat groups, as they may fall victim to fraud, give credence to misinformation and unwittingly invest in unregulated forms of investment that are highly volatile.

For Bafin, consumer protection and solvency supervision are equally important and closely interwoven. This integrated approach, which Bafin has taken for years, will also be reflected in the “Risks in Bafin’s Focus” report from now on. Bafin is therefore including consumer risks in this year’s report for the first time.

In 2026, we will focus on a total of nine risks in particular:

Risks for the financial market

- 1. Risks arising from significant corrections on the international financial markets ↑
- 2. Risks arising from corporate loan defaults ⇔
- 3. Risks arising from the commercial real estate markets ⇔
- 4. Risks arising from cyber incidents with serious consequences ⇔
- 5. Risks arising from market concentration due to the outsourcing of IT services ↑
- 6. Risks arising from insufficient measures to prevent money laundering and terrorist financing ⇔

Risks for consumers in Bafin’s focus 2026

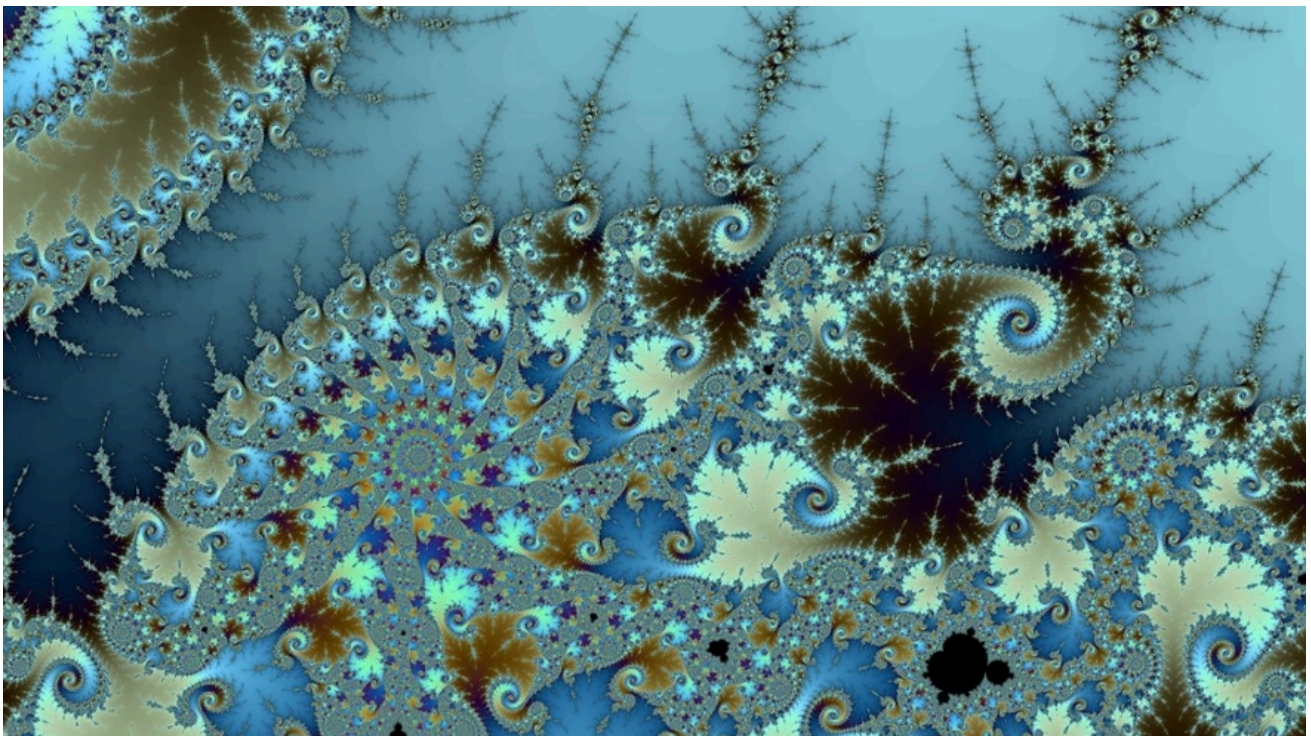
- Consumer financing on credit ↑
- Investments in cryptoassets and the influence of social media on investment behaviour ↑
- Costs for endowment insurance (*kapitalbildende Lebensversicherung*) ⇔

These risks will be our primary focus in 2026. The order of the risks does not reflect their prioritisation. The trend arrows indicate the future development Bafin is anticipating (increasing, constant, decreasing).

The specific steps Bafin will take to mitigate these nine risks are detailed in the individual risk descriptions. In addition to these risks, it will remain essential that the supervised institutions appropriately handle risks arising from longer-term trends – digitalisation, sustainability and geopolitical turmoil.

As in previous years, it should be noted that not all of the scenarios described in this report will materialise, and new risks may emerge. Bafin must identify such risks at an early stage and react quickly.

1. Risks arising from significant corrections on the international financial markets ↑



Source: *michael/stock.adobe.com*

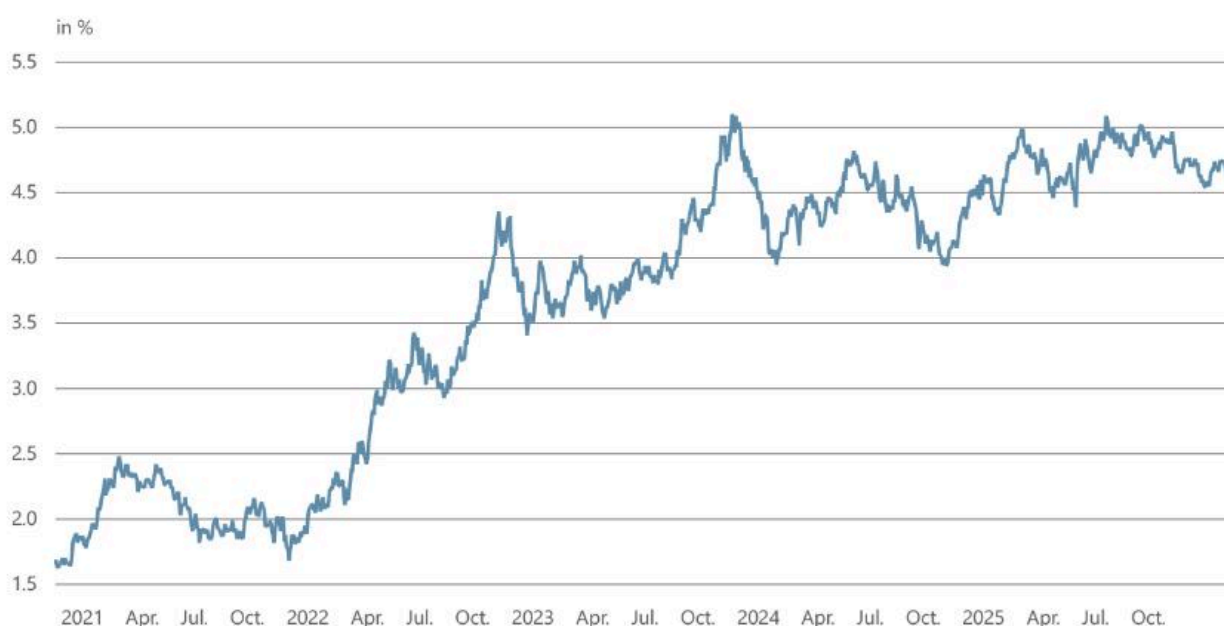
Despite what initially appear to be positive price developments, the situation on the financial markets remains fragile, and the risk of setbacks is heightened across many asset classes given the high risk appetite. International trade conflicts, the high levels of government debt in some key industrialised nations and sharply increased valuation levels – such as in the technology sector – could lead to a significant correction.

The US tariff announcements in April 2025 triggered a price slide on the stock markets. In the months that followed, however, valuation levels again rose sharply in many market segments – particularly on the US market. However, the US market is driven in particular by the technology sector, which also dominates the major US benchmark indices. For example, Nvidia, Apple and Microsoft alone account for a good 20% of the market

capitalisation of the S&P 500. The German benchmark index DAX also reached record highs in the summer of 2025. There are also significant concentrations here – SAP, for instance, has a 13% share of the DAX index.

The bond markets are showing warning signs: in the course of 2025, yields on government bonds rose significantly in some cases – especially after the US tariff announcements in April. The longer-term trend shows an even more significant increase. This applies in particular to long-term government bonds, such as 30-year US government bonds (see Figure 1). The yield on 30-year German government bonds has also been above the 3% mark since June 2025 and was at its highest level since 2011 at the beginning of September 2025. At the same time, the risk premiums (spreads) of corporate bonds over government bonds have fallen. This raises the question of whether default risks are appropriately priced here.

Figure 1: Yield development of US government bonds (30-year term)



Source: Bafin diagram using data from Refinitiv Workspace, as at 9 December 2025.

Tariffs and trade conflicts increase financial market risks

A key risk for corrections on the financial markets is arising from trade conflicts and protectionist measures, which are becoming increasingly widespread. Tariffs on products from key industries and ensuing countermeasures are adding to the uncertainty faced by export-based industries. However, the high valuation levels only reflect these risks to a limited extent. This means there is potential for sudden market corrections.

Growing global sovereign debt

After many years of expansive fiscal and monetary policy, the debt levels of major economies (particularly the US, Japan, China and parts of Europe) have risen significantly. In addition, national budgets, particularly in Europe, are being strained by increasing ex-

penditure on defence capabilities and infrastructure. Public-sector budgets are consequently struggling with a growing interest burden. If banks and insurers with a large portfolio of government bonds had to accept valuation losses, this would have a negative impact on their solvency.

European banks hold a considerable proportion of domestic government bonds, which is known as “home bias”. Even after the introduction of the European banking union, which was intended to contribute to greater portfolio diversification for banks, the interdependencies between the states and banks in Europe (sovereign-bank nexus) remain. There is therefore a risk in Europe that a sovereign debt crisis in some European countries could have a negative impact on the solvency of the affected banks and, conversely, that a banking crisis would place an additional burden on national budgets. This could result in second-round effects for German institutions: if market mistrust were to arise, the sovereign-bank nexus would trigger a domino effect and increase the risk of sudden price collapses.

Risk exacerbation through non-bank financial intermediaries

Market risks can be exacerbated if banks and non-bank financial intermediaries (NBFIs) are interconnected – especially if these interconnections are not transparent. Risks can arise for banks in particular if they provide NBFIs with liquidity (funding) or loans. Risk concentrations may arise at banks that are highly interconnected with individual NBFIs via various channels, including indirect channels. The insolvency of First Brands in October 2025 illustrates these risk linkages: impending losses from private debt funds led to significant price losses at some US regional banks, which also spread to European bank securities. With the growing market share of NBFIs, the danger of such risk transfers or loss of trust continues to increase.

US dollar risks manageable for German banks

The risk arising from US dollar funding is also of particular importance. International financing is predominantly transacted in US dollars. Almost 90% of global turnover on the foreign exchange market involves the US dollar. European financial institutions are dependent on short-term refinancing in US dollars in order to fulfil their liabilities. Bottlenecks or abrupt price increases, such as those that occur during periods of stress (e.g. financial crisis, pandemic, geopolitical shocks) can trigger liquidity constraints.

In the German banking industry, primarily large banks and promotional banks use US dollar funding. The majority of the less significant banks in Germany, on the other hand, are not directly dependent on refinancing funds in US dollars.

Bafin's line of approach

Bafin will continue to monitor capital market risks in 2026.

Valuation of market risk

- Bafin will continue to identify supervised companies with high and risky exposures that are strongly dependent on financial markets; Bafin will also assess the risk of these exposures. In particular, it will analyse the holdings of government bonds and their interconnectedness with NBFIs.
- In 2026, Bafin will focus on analysing how vulnerable banks are to disruptions on the US dollar financing markets.

Implementation of liquidity management tools

- Bafin will support German asset managers as they continue to implement liquidity management tools (LMTs) in a risk-appropriate manner. Fund managers are required to implement at least two instruments by April 2026. Money market funds, required to apply only one LMT, are an exception.
- Bafin will also prepare for the introduction of liquidity risk management plans that insurance companies must implement by 29 January 2027 in accordance with the Solvency II Amending Directive.

More articles from the Risks in Focus 2026

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2. Risks arising from corporate loan defaults →

The economic situation in Germany remains tense, accompanied by an increased risk of default on corporate loans. Economic output in Germany fell by 0.3% in 2023 and 0.2% in 2024. In 2025, there was slight growth of only 0.2%. In view of the weak economic situation, there is a danger that the share of non-performing loans will increase – albeit from a relatively low level. In addition to banks, this will particularly affect insurers that have invested in private debt.

German economy under pressure

The current trade tensions and the associated uncertainties are weighing heavily on the German economy. The US tariffs of 15% on most products are particularly affecting the largely export-oriented key industries of automotive engineering, chemicals, electronics and mechanical engineering. This may lead to an increase in default rates in these sectors.

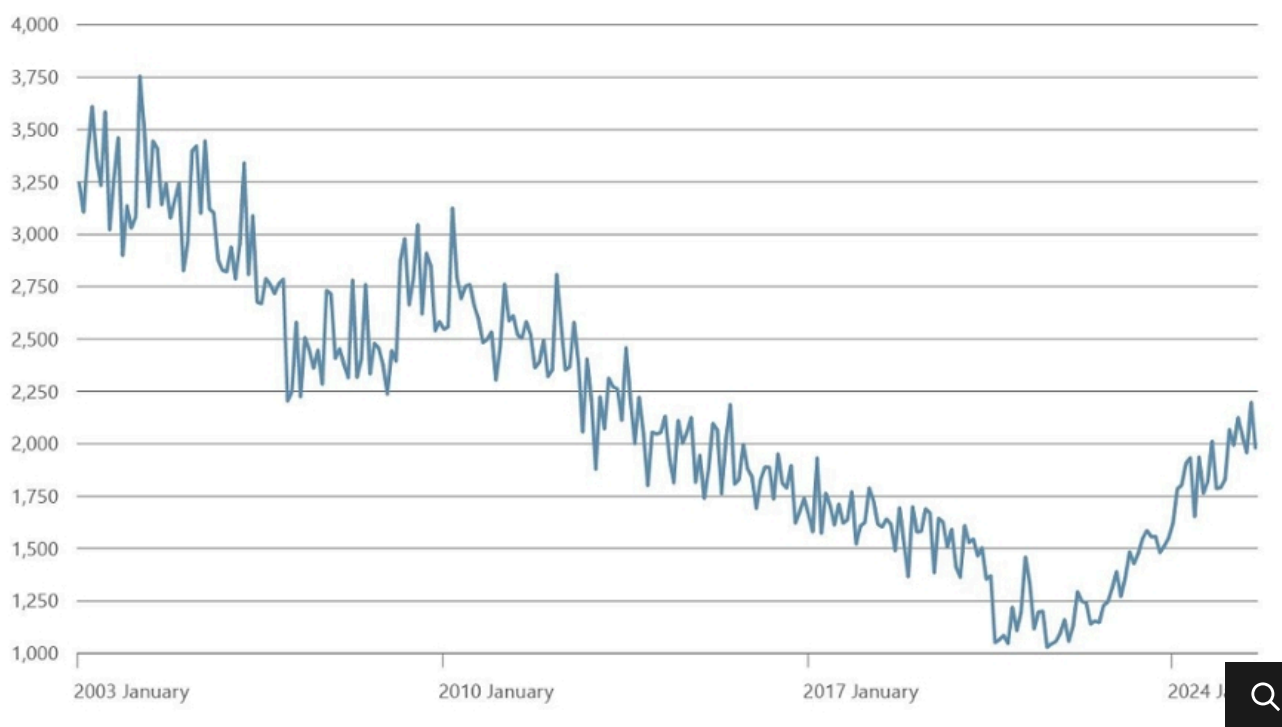
In addition to increasing fragmentation worldwide and the rise of protectionism, a number of structural factors are also putting pressure on the German economy. Despite a significant decline in energy costs since the peaks reached in 2022 – industrial electricity prices have fallen by up to 80% – energy costs in Germany remain high by international standards. This is placing an additional burden on energy-intensive industries such as chemicals and steel, which are already severely affected by the rise in tariffs. At the same time, the structural shift towards a climate-neutral economy requires high levels of investment. The shortage of skilled workers is also having a negative impact. In addition, competitive pressure from China is growing, for example in the field of electromobility. Since the US began imposing tariffs on Chinese goods, the increase in China's exports due to its overcapacity has been putting the European market under more and more pressure.

Due to the extraordinary fiscal measures taken by the German government, the economic forecasts for 2026 are more positive than the economic development of previous years. The Ifo Institute for Economic Research is even projecting economic growth of 0.8%. However, it remains to be seen how the fiscal measures will be implemented and how sustainable the economic effects in Germany and the EU single market will be.

Default risks for banks continue to rise

The factors weighing on the economy are reflected in the rising trend in company insolvencies (see Figure 2). The number of regular insolvencies applied for in Germany in August 2025 was 1,979 –and thus 12.2% higher than in August 2024. The transport, storage and accommodation/hospitality sectors were particularly affected.

Figure 2: Company insolvencies in Germany



Source: German Federal Statistical Office, as at 26 November 2025.

The increase in insolvencies was accompanied by an increase in the proportion of non-performing loans (NPLs) at German banks. This increase was observed at both significant institutions (SIs) and less significant institutions (LSIs). The NPL ratio for corporate loans was 3.8% in the third quarter of 2025. The ratio of 4.26% at LSIs was higher than that for SIs, which stood at 3.66%. Compared to other eurozone countries, German LSIs had below-average NPL ratios and above-average coverage ratios (loan loss provisions in relation to the NPL volume) in corporate banking. By contrast, NPL ratios in corporate banking at German SIs were slightly higher than the average for the Single Supervisory Mechanism (SSM), while coverage ratios were below average. Earnings may come under pressure here due to rising impairment charges.

The trend of rising loan loss provisions at German banks, observed since the end of 2023, continued in 2025, albeit at a decreasing rate.

In light of increased credit risks due to the weakening economy, German banks tightened their credit standards for lending to companies and implemented higher risk premiums for certain loan applications. This reduced risks from new lending.

Additional risks for German banks may arise if the weak economic situation leads to a further increase in unemployment in Germany. In August 2025, the unemployment rate

rose by 0.3 percentage points compared to the previous year, reaching 6.4%. A sustained increase would also result in rising credit risks for consumer loans and could place an additional burden on German banks.

Strong growth in the private debt market

Globally, companies are increasingly turning to the private capital market to take on debt. This involves non-banks providing debt capital on the private markets. The lending to companies is particularly relevant in this regard. Private debt funds currently manage assets totalling around US\$2.5 trillion worldwide. The market showed growth of approximately 10% between 2023 and 2024. Compared to the global financial system, which manages around US\$486 trillion, the private debt market is still small, but is experiencing strong growth. This is mainly due to higher returns compared to the traditional financial market, as the default risks are also proportionally higher. This market segment is currently less relevant in Germany. Lending by German private debt funds only accounts for about 0.2% of the lending volume of German banks. However, stability risks can arise in particular from international contagion effects.

If banks provide additional capital to private debt funds, thereby leveraging them with borrowed funds, this could entail increased default risks for the lenders and investors involved. The interconnections are manifold and often not transparent. In addition to providing leverage (loan financing) to private debt structures, banks may also acquire pro rata ownership of these structures themselves or may have receivables from the same companies that also receive funds from private debt providers. As a result, the interconnectedness between funds and the traditional financial sector is increasing. This could lead to contagion effects throughout the entire financial system in the event of payment defaults.

Private debt is also attractive for insurers as institutional investors with a long investment horizon. Alternative asset classes in general as well as private debt investments place high demands on insurers' risk management. It is of particular importance that insurers have a sufficiently clear understanding of the business models of the companies to which they are granting debt capital. If they grant the loans indirectly through investments in private debt funds, insurers must be sufficiently familiar with the type of loans granted. This also means that they must be familiar with the funds' lending practices.

Bafin's line of approach

In view of the persistently uncertain economic development and the geopolitical tensions, Bafin will continue to closely monitor the credit risks of banks and insurers in 2026.

Analyses and inspections at banks

- Bafin will maintain the countercyclical capital buffer, which has been in effect since February 2023, on all domestic risk exposures in order to strengthen the institutions' capital base. In December 2025, Bafin decided to keep the countercyclical capital buffer at 0.75%.
- Bafin will continue to monitor corporate loans that could be particularly affected by an economic downturn or geopolitical tensions. To this end, it will also review the standards for lending to high-risk sectors.
In a cross-sectional analysis Bafin will identify particularly exposed institutions, especially in the commercial real estate sector. On this basis, it will take supervisory measures if necessary.
- Bafin will continue to conduct special inspections of the lending business. Impairment tests will be carried out together with credit process reviews to enable an analysis of the general economic environment.
- Small and medium-sized institutions will also undergo the supervisory stress test that Bafin and the Bundesbank will carry out in 2026. Among other things, the stress test assumes a significant increase in credit default risks. The results of the stress test are incorporated into Bafin's Pillar 2 guidance.
- Bafin will analyse the interconnectedness between banks and non-bank financial intermediaries such as private debt funds.

Risk management for insurers and *Pensionskassen*

- In 2026, Bafin will conclude its individual analysis of the outliers in insurers' alternative investments and the review of risk management in this regard.
- Bafin will complete its assessment of the Solvency II valuation of amortised cost. Among other things, this involves checking whether the insurers have selected the correct valuations for private debt securities held indirectly via funds.
- Bafin will conduct a survey to comprehensively record the investment behaviour of insurers and Pensionskassen, including their exposures to private debt.

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3. Risks arising from the commercial real estate markets →

The situation on the German real estate market is heterogeneous. The residential real estate market has largely normalised and is showing a continuous, moderate upward trend in prices and lending. Overvaluations have been almost completely eliminated. However, uncertainties remain with regard to the data quality of reports on new lending.

The situation on the commercial real estate market, which also includes commercial residential real estate, remains fragile, however, and still involves increased risks: although prices are rising again slightly, the transaction volume is still very low. Demand in particular is weak. Structural factors such as the ongoing high rate of remote work and the expansion of online retail are clouding the situation on the commercial real estate market. Due to weak economic growth, there is also a risk of further price declines. Investors are increasingly favouring other investment opportunities.

Vulnerability of specialised institutions

The commercial real estate market could continue to pose major risks for banks. Commercial real estate loans accounted for about 9% of German banks' aggregated total assets in the third quarter of 2025. Individual institutions could be heavily burdened by major loan defaults in their portfolio.

Over the last several years, German significant institutions (SIs) also increasingly granted commercial real estate loans in the United States in addition to their home market. Since the US interest rate shift in March 2022, prices on the US commercial real estate market have fallen by almost one fifth. Office real estate prices in particular are under pressure, partly due to the even greater importance of mobile working in the US, at a vacancy rate of around 19%.

Due to their business models, banks with a focus on financing commercial real estate and project developers, who may not be able to compensate for losses in this segment by means of other business areas, are therefore subject to increased risk.

Slight price increases compared to previous quarters

Prices in the three key commercial real estate submarkets in Germany (see Figure 3) have risen slightly since the second quarter of 2024 compared to the respective previous quarters. The growth was most noticeable in commercial residential real estate.

Overall, prices for office real estate and commercial residential real estate fell by 13.7% and 3.6%, respectively, from the second quarter of 2022 to the third quarter of 2025. Retail real estate prices are continuing their downward trend that began at the latest with the coronavirus pandemic. They fell by 14.9% in the same period and have fallen by as much as 21.1% since the end of 2019.

Figure 3: Prices for commercial real estate in Germany by key property types

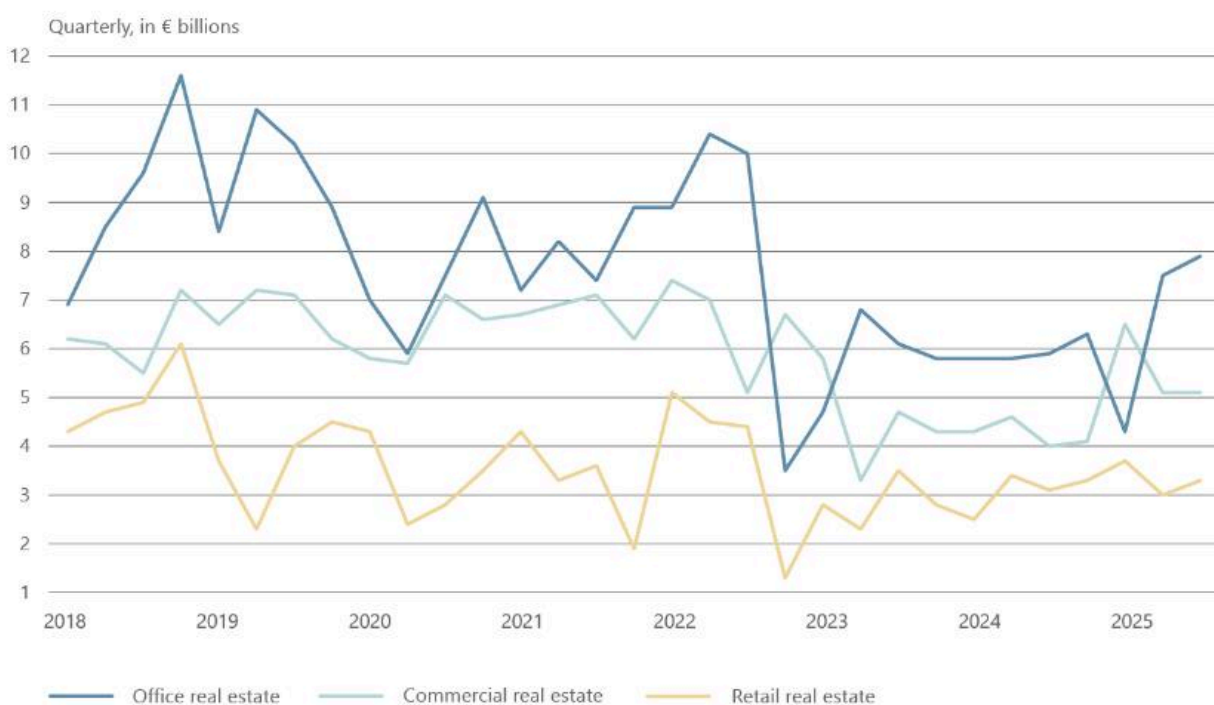


Source: Bafin diagram using data from the Association of German Pfandbrief Banks (Verband deutscher Pfandbriefbanken e. V. – vdp), as at 12 December 2025.

Transaction volume and new lending business remain at a low level

The transaction volume on the commercial real estate market has remained at a low level for several years. The banks' new lending business for commercial real estate has also not recovered significantly (see Figure 4). Overall, credit development is likely to stagnate in view of the current imbalance on the commercial real estate market.

Figure 4: Development of new lending business for commercial real estate in Germany by key property types



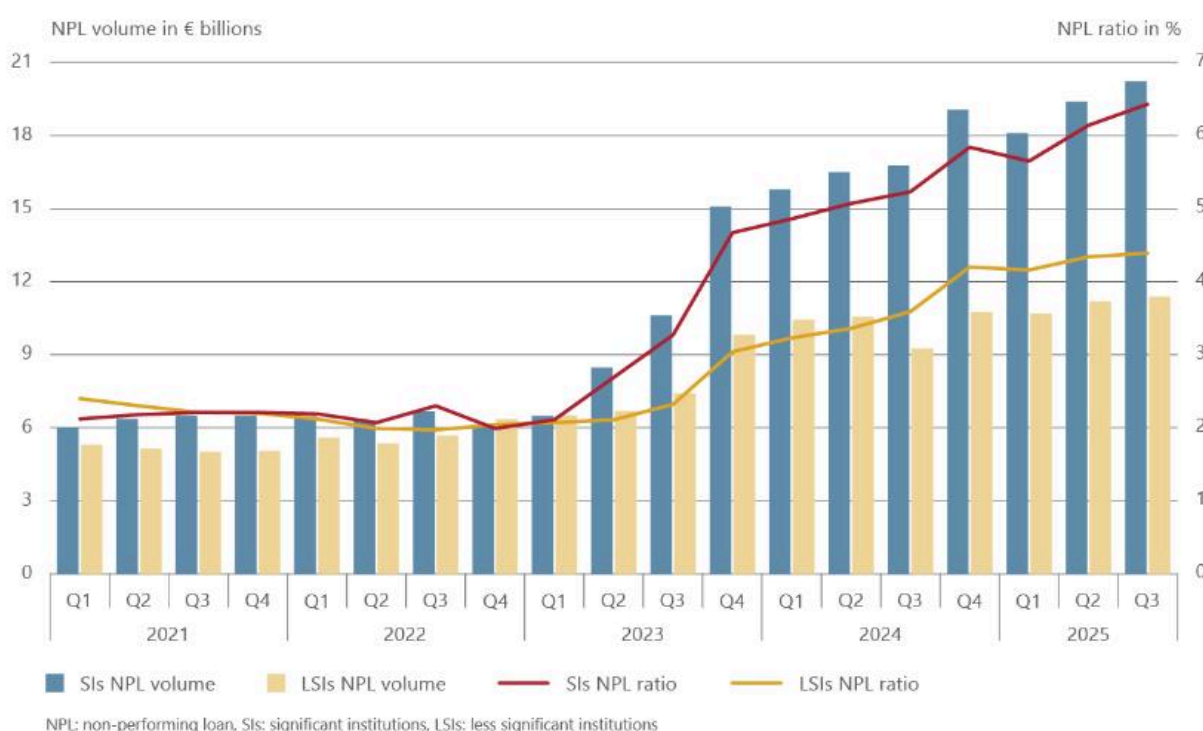
Source: Bafin diagram using data from the Association of German Pfandbrief Banks (Verband deutscher Pfandbriefbanken e. V. – vdp), as at 12 December 2025.

Credit quality with uncertain outlook

The ratio of non-performing loans (NPLs) in commercial real estate (excluding commercial residential real estate) and the corresponding NPL volume as lagging indicators have risen steadily since the beginning of 2023 (see Figure 5), although the pace has recently slowed. The NPL ratio for German less significant institutions (LSIs) is – as at the third quarter of 2025 – 4.4%, and 6.4% for German significant institutions (SIs). At the same time, the valuations of commercial real estate collateral in loan portfolios are likely to decline gradually and are therefore only reliable to a limited extent.

Lower valuations are particularly problematic given the sharp rise in interest rates compared to the low-interest phase, as this increases the refinancing risk. SIs are particularly susceptible. This is due to the fact that loans for commercial real estate and project developers were often granted without the right of recourse to other assets – or were granted as bullet loans, where the loan amount is only repaid at the end of the loan period. LSIs, on the other hand, granted almost no loans without extended rights of recourse and only a few loans as bullet loans.

Figure 5: Development, volume and ratio of non-performing commercial real estate loans granted by German institutions*



*Figures exclude loans for commercial housing; the breakdown does not include any non-CRR credit institutions that are not classified as SI/LSI; Bafin diagram.

Source: Source: Joint calculations by the Deutsche Bundesbank and BaFin based on FINREP.

Institutions and project developers specialising in commercial real estate financing are subject to increased risk. Since the market shift in mid-2022, several project developers have had to file for insolvency.

Real estate funds

The German real estate fund market is large and heterogeneous by European standards. There are 1,117 real estate funds in Germany with a total volume of around €323.6 billion. Open-ended real estate funds have tangible assets domiciled in Germany totalling €162.1 billion. A distinction must be made between the two market segments of retail funds and special funds for institutional investors. As at 30 September 2025, the investor structure for retail real estate funds is largely made up of private households (82%). The investor structure for open-ended real estate special funds largely comprises banks and other financial intermediaries, occupational pension schemes, pension funds and insurance companies.

Continuous net cash outflows have been observed for retail real estate funds since August 2023. In October 2025, a total of around €720 million in net funds was paid out. According to the ↗ [investment fund statistics of Deutschen Bundesbank](#), net outflows since August 2023 have totalled €13 billion.

Bafin continuously monitors the liquidity of German retail real estate funds. Although the legally applicable liquidity management tools of a minimum holding period of two years and a one-year redemption period mitigate liquidity risks, individual retail real estate funds are facing liquidity bottlenecks. In January 2026, for example, a smaller fund was forced to suspend the redemption of fund units.

Special real estate funds generally experienced net inflows in 2025. Nevertheless, in two cases German asset managers (Kapitalverwaltungsgesellschaft – KVG) had to completely suspend the redemption of units. Among the investors in the funds concerned were credit institutions, insurance companies, pension funds and occupational pension schemes. Managers of special funds must use at least two of the statutory liquidity management tools from April 2026.

Bafin's line of approach

Bafin will continue to closely monitor the risk situation on the real estate markets.

Analyses and inspections

- Bafin will carry out further cross-sectional analyses in order to identify risks such as concentrations or defaults in the commercial real estate lending business at an early stage. It will use simulations to estimate future developments, particularly where borrower debt is high.
- Bafin will also analyse whether banks are estimating the value of their commercial real estate regularly and appropriately. Special inspections will be conducted for banks with high risks in commercial real estate financing and in their own real estate portfolios.

- In 2026, Bafin will conclude its individual analysis of outliers in alternative investments, which Bafin considers to include real estate. It will also complete its review of risk management practices. Bafin will also continue to closely monitor retail funds with liquidity problems in 2026.

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4. Risks arising from cyber incidents with serious consequences →

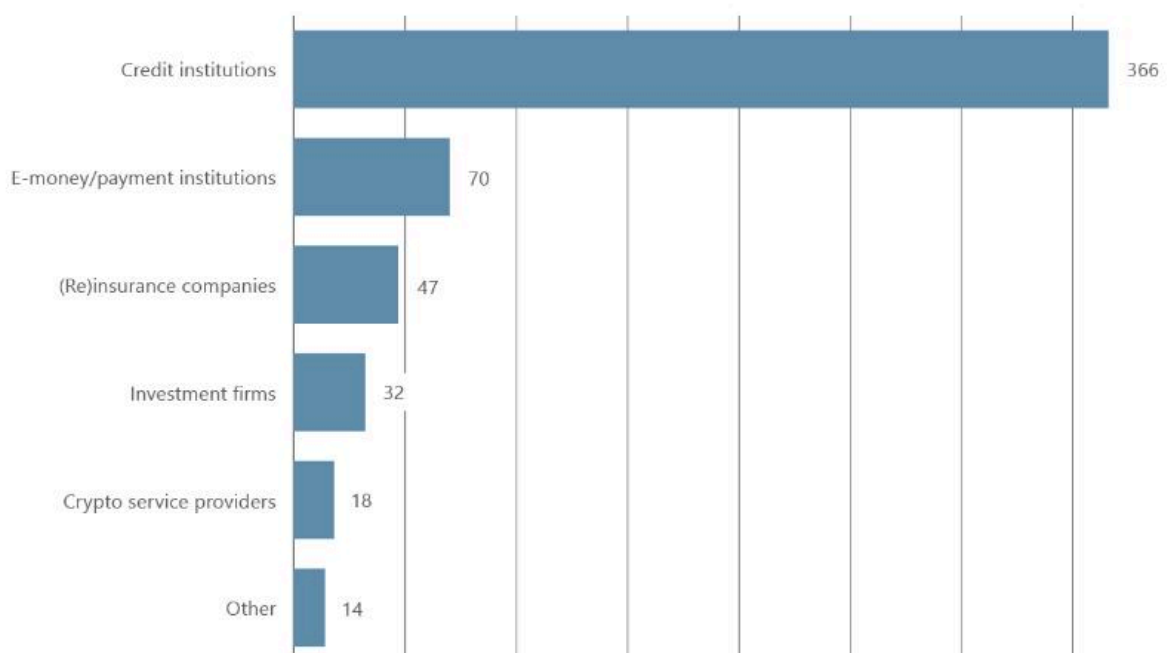
The threat of cyber incidents remains significant. This is due to geopolitical tensions, increasingly complex IT systems and the use of artificial intelligence. Bafin's assessment also reflects that of the Federal Office for Information Security (Bundesamt für Sicherheit in der Informationstechnik – BSI), which has identified an increased cyber threat situation for critical infrastructure facilities.

DORA: incident reporting system

The Digital Operational Resilience Act (DORA) has been in force since 17 January 2025. Under DORA, Bafin acts as the German financial sector's central reporting hub for serious incidents affecting information and communication technology (ICT) and forwards reports to relevant authorities such as the BSI and the Deutsche Bundesbank. In addition to banks and payment service providers, insurers and investment firms alongside all other financial entities set out in DORA must report ICT-related incidents.

In the first three quarters of 2025, 525 serious ICT incidents were reported to Bafin, about 70% of which originated from credit institutions (see Figure 6). The number of reported incidents is thus significantly higher compared to the incident reports under the second Payment Services Directive (PSD2) (see Risks in Bafin's Focus 2025). One of the reasons for this is that, as shown above, more financial entities are subject to the reporting obligation under DORA than before.

Figure 6: Distribution of incident reports across different entity types



Source: Bafin diagram based on reported serious ICT-related incidents under DORA; multiple responses possible, as at third quarter 2025.

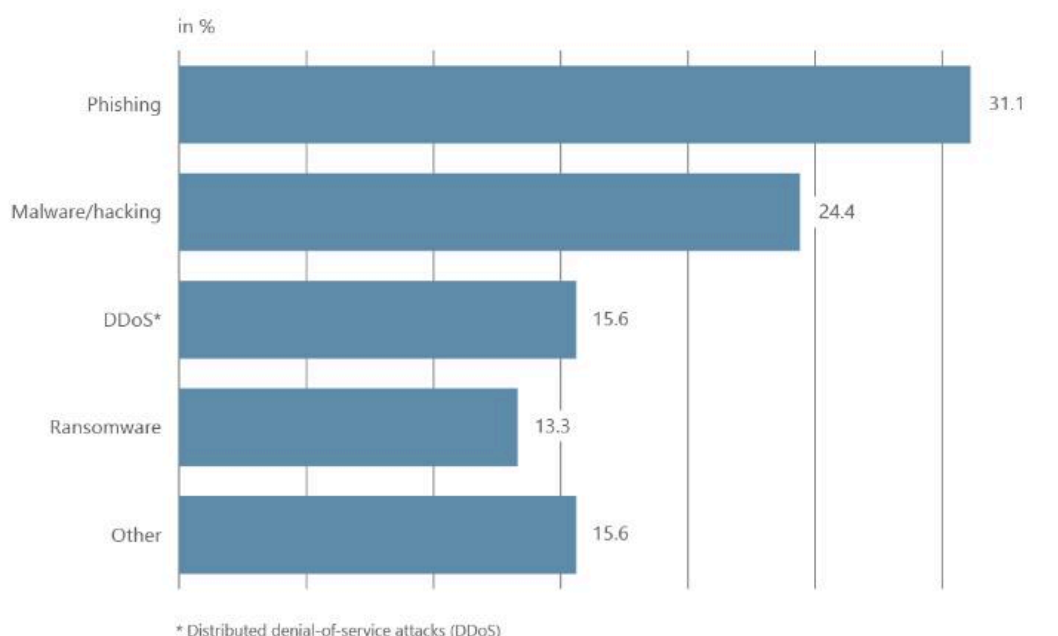
At financial entities or their service providers, IT incidents continue to occur more frequently than successful cyberattacks. Common causes include faulty updates and issues in the entities' change process, e.g. configuration errors that occur during system customisations.

Methods for compromising systems

In the first three quarters of 2025, 10% of all incidents reported were security incidents. These were largely cyberattacks. The most frequently reported type of attack is phishing. (see Figure 7). Attackers use phishing to gain access to sensitive systems and data or to plant malware in companies' systems with a view to compromising them. Artificial intelligence (AI) is opening up new possibilities that make it more difficult to identify fraud and counterfeiting.

Malware and hacking account for around 24% of reported security incidents. Other common types of attack are distributed denial-of-service attacks (DDoS) and ransomware. Ransomware attacks in particular pose a major threat for companies, as such attacks not only involve the capture and encryption of data. They can also significantly disrupt a company's business operations.

Figure 7: Proportion of attack patterns in security incidents



Source: Bafin diagram based on reported serious ICT-related incidents under DORA, as at third quarter 2025

How financial entities assess the threat situation

As part of threat-led penetration testing (TLPT) – a DORA requirement for certain financial entities that fulfil specific qualitative and quantitative characteristics – such enti-

ties must also provide information on their current threat situation. According to the information provided, financial entities see the threat of cyberattacks as stemming primarily from organised crime; state players pose the next greatest threat. They consider the risk of espionage (exfiltration of confidential data), sabotage, ransomware attacks, the theft and sale of data and the manipulation of transfer systems to be particularly relevant. Social engineering attacks such as phishing and vishing are considered the most relevant entry vectors and are therefore tested the most by the entities.

Cyber risks in practice

In 2025, there were several successful attacks on financial entities. Time and again, such attacks result in the leakage of confidential data. Security gaps in software and hardware play a major role here, making it easier for attackers to compromise systems. In the case of “zero-day exploits”, attackers take advantage of a security gap in software or hardware that is not yet known to the manufacturer or developer or for which no patch yet exists.

In addition to financial entities, attackers often also target their service providers. In 2025, 31% of all attacks reported did not occur at a financial entity itself, but at one of its service providers. However, the attacks had a serious impact on the respective financial entity. In one of these cases, attackers managed to capture data from numerous financial entities via a vulnerability in the software of a service provider. Customer data from affected companies was then offered for sale on the dark web.

Due to a disruption in the security systems of the payment service provider PayPal, German banks received billions in fraudulent direct debits in August 2025. The security systems of the players concerned were able to identify and stop these direct debits. However, the case shows how quickly a disruption at a service provider can affect numerous players in the financial system.

In its capacity as co-chair of a G7 Cyber Expert Group workstream, Bafin developed a policy paper entitled “ [↗ Fundamental Elements of Collective Cyber Incident Response and Recovery](#)”. This is the first comprehensive, internationally coordinated guide for responding to serious cyber incidents in the global financial sector. The principles developed are intended to contribute to the harmonisation of national approaches and thus strengthen the resilience of the international financial sector.

Technical vulnerabilities due to the use of AI

Financial entities are increasingly utilising AI along the entire value chain. This also carries the risk of new technical security gaps that attackers can exploit. In the case of data or model poisoning, the training data is manipulated, which can lead to the model producing incorrect or harmful results. “Privacy attacks” are aimed at extracting confidential information from the training data. “Evasion attacks” circumvent protective measures of the AI model by making targeted changes to the input, causing the model to generate malicious code or disclose confidential data.

Entities must protect their AI models. AI content filter systems detect and block the output of unwanted, dangerous and confidential content. By monitoring the model behaviour, entities can make manipulation more difficult.

Attackers also utilise the human factor

Technical barriers alone cannot completely prevent cyberattacks: attackers use “social engineering” to deliberately target people. For example, cyber criminals use generative AI to create deceptively real phishing emails, messages or deepfakes for the purpose of obtaining sensitive data.

Opportunities for cyber defence through AI

At the same time, generative AI can also be used for cyber defence: it can detect and analyse security incidents or simulate realistic attack scenarios to help develop preventive countermeasures.

Bafin's line of approach

Bafin will play a central, coordinating role in strengthening cyber resilience in the German financial sector. Its activities will include acting as the reporting hub, creating a comprehensive overview of cyber risks, providing crisis coordination and taking preventive measures.

Centralised cyber overview under DORA

- Since 17 January 2025, Bafin has been the central reporting hub for ICT incidents in the German financial sector under the EU Digital Operational Resilience Act (DORA). Bafin forwards the reports to all relevant national and European authorities (such as the BSI, the Deutsche Bundesbank, the ECB and the European Supervisory Authorities (ESAs)).
- Bafin will consolidate the information it collects to create and maintain an overview of cyber risks for the financial sector. The overview will show the current cyber threats and how vulnerable the supervised entities and their IT service providers are. Furthermore, it will list examples of successful cyberattacks.

National and international crisis cooperation

- Since the beginning of 2025, Bafin has been implementing the Systemic Cyber Incident Coordination Framework (EU-SCICF) together with national competent authorities and the ESAs (EBA, ESMA and EIOPA). This framework serves to improve communication and coordination in the event of cyber incidents that jeopardise financial stability.

- The dialogue within the framework of the German Financial Cyber Crisis Roundtable (G-FinCRT), initiated by Bafin at the end of 2024, will be intensified in order to include medium-sized companies and expand the discussion to include preventive topics.
- Bafin is also actively participating in the work of Germany's National Cyber Defence Centre (Nationales Cyber-Abwehrzentrum), maintaining close contact with other national and international authorities.

Prevention and resilience testing

- Together with the supervised entities and other supervisory authorities, Bafin will conduct cross-sectoral crisis management and contingency exercises. These will involve simulations of cyberattacks or other disruptions. The exercises are designed to promote prevention and to train entities to properly handle cyberattacks and disruptions that are systemically important.
- Bafin will evaluate the results of threat-led penetration testing (TLPT) to obtain information on vulnerabilities.

More articles from the Risks in Focus 2026

Risks in Bafin's Focus 2026

Financial market risks in Bafin's focus 2026

- 1. Risks arising from significant corrections on the international financial markets ↑
- 2. Risks arising from corporate loan defaults →
- 3. Risks arising from the commercial real estate markets →
- 5. Risks arising from market concentration due to the outsourcing of ICT services ↑
- 6. Risks arising from insufficient measures to prevent money laundering and terrorist financing →

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- 1. Digitalisation
- 2. Sustainability
- 3. Geopolitical turmoil

Risks for consumers in Bafin's focus 2026

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- Investments in cryptoassets and the influence of social media on investment behaviour ↑
- Costs for endowment insurance (*kapitalbildende Lebensversicherung*) →

5. Risks arising from market concentration due to the outsourcing of ICT services ↑

The digital transformation has greatly increased dependence on information and communication technology services (ICT services). Cloud computing, software solutions and other data-related services have become ever more important for financial market players. This has led to concentrations and critical dependencies since many financial companies use a small number of multi-client service providers, such as cloud service providers or software providers. These service providers are primarily based in other EU countries or in third countries. But there are also concentrations in Germany: companies that are part of a banking network or corporate group are particularly likely to use a central ICT third-party service provider. The risks arising from market concentration due to the outsourcing of ICT services are thus heightened.

Outsourcing ICT services has its disadvantages

ICT service providers are particularly appealing to financial companies because they offer numerous advantages: flexibility, scalability of the ICT infrastructure, resource optimisation, increased efficiency and a boost to innovation. These huge advantages are the reason why ICT services have been an indispensable part of the value chain for years now. One example is the use of cloud services: the German financial market is increasingly relying on public cloud services--cloud services are ICT services that are provided by third-party providers via the public internet and used by multiple customers on a shared infrastructure.. The use of cloud services has long been standard practice in German companies beyond the financial market. In its Cloud Report 2025, the industry association Bitkom e.V. predicts that no company will be able to manage without cloud services in five years' time. According to Bitkom e.V., around half of all ICT applications used in the German economy are cloud-based. Looking to the future, 82% of respondents would like to see a large cloud provider from Germany or Europe.

However, the downside of this trend is that many financial companies find themselves increasingly dependent on the technology, platforms or services of ICT providers. If this technology were to become temporarily or permanently unavailable, it would have serious consequences for financial companies that rely on ICT services for critical or im-

portant functions. In such a situation, it would be virtually impossible to spontaneously switch from one, usually highly specialised, service provider to another. In some cases, this would also be impossible in the long term due to a lack of alternatives – a situation referred to as vendor lock-in--In this case, the customer is so strongly tied to the technology, systems or services of a particular provider that switching to another provider would be impossible or very costly due to significant technical, organisational or financial hurdles. .

ICT service providers as a gateway for serious incidents

Financial companies can only strengthen their own resilience if they have resilient service providers. Incidents at large ICT service providers are particularly critical, as they can affect many customers in the financial sector. If ICT service providers also provide services to other ICT service providers, the number of potentially affected parties increases exponentially. Disruptions at ICT service providers are far from rare: an incident such as the CrowdStrike outage in the summer of 2024 could occur at any time and have serious consequences for the financial market. In October 2025, an internal technical error at Amazon Web Services caused a global disruption affecting numerous internet services, including the instant messaging service Signal and the video conferencing platform Zoom. Some services were not fully restored until the following day. Microsoft's Azure cloud platform also experienced a major outage due to configuration errors at the end of October 2025. The disruption affected services such as Outlook, Microsoft 365 and Gaming Services. These incidents illustrate that operational disruptions at a single ICT service provider can rapidly spread across geographical boundaries.

Risks arising from dependence on ICT service providers from third countries

A large number of ICT services used by financial companies in Germany and throughout Europe are provided by ICT service providers based in third countries such as the US, the UK, India or Japan. In addition to ICT services for providing, analysing and storing data, this also includes software and cloud services.

This can give rise to additional risks, for example with regard to European regulatory requirements for ICT security or data protection. In some cases, there are also doubts about data security because it cannot be ruled out that foreign authorities may demand access to the data of European companies.

The tense geopolitical situation poses additional challenges for financial companies. In particular, risks can arise when financial companies depend on ICT services from third-country providers for their critical or important functions. Recently, there has been an increase in the number of European ICT third-party service providers entering the market, and some financial companies are exploring these options.

Digital sovereignty

In many cases, the desire for European alternatives stems from financial companies' need to use digital technologies and data securely, independently and autonomously. They want to maximise their freedom of choice and are therefore examining their dependencies and alternative solutions.

Some cloud providers are responding to this need and have begun offering their customers in the financial industry a "sovereign cloud" that allows them to use the cloud within national or European borders under the highest data security and data protection standards.

However, it is questionable whether providers can actually legally fulfil their commitments. When considering offers from third countries, financial companies must critically examine whether there is a risk that foreign authorities could access data. There is also a risk of losing access to the cloud in the event of geopolitical upheaval. Financial companies using sovereign cloud solutions should above all check whether updates are controlled centrally by parent companies in third countries.

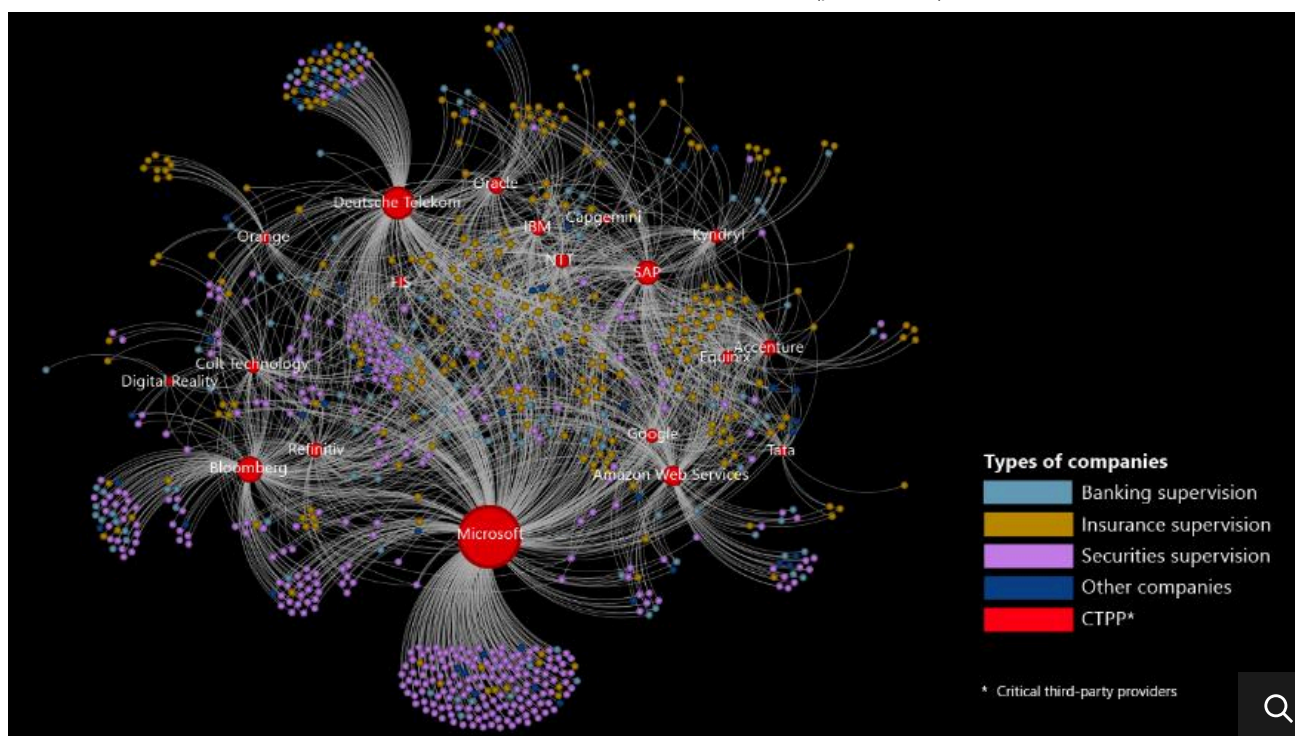
Supervisory oversight: how supervisors deal with systemic dependencies

The increasing dependence of the European financial market on a small number of ICT third-party service providers has prompted European legislators to introduce a specific supervisory regime for critical ICT third-party service providers in the form of the Digital Operational Resilience Act (DORA). This law covers ICT third-party service providers that are systemically important for the operational resilience of the European financial market.

Supervised entities themselves have an important role to play here: DORA requires financial companies to assess the risks that may arise from their dependence on these IT services before concluding a contract. To ensure that they can manage ICT third party risks in a structured manner, financial entities must enter their ICT contracts in a register of information.

Based on entries from more than 10,000 European financial companies in the register of information, the European Supervisory Authorities (ESAs) published a ↗ list of ICT third-party service providers classified as critical on 18 November 2025. Specifically, this concerns ↗ 19 ICT third-party service providers based in Europe or in third countries such as the US, India or Japan that offer a wide range of ICT services in Europe, including cloud solutions, data centres, telecommunications, software and data analysis. The high degree of interconnectedness between these providers also increases the systemic risk. Many of these service providers are also well established in the German financial market (see Figure 8).

Figure 8: Interconnectedness of the 19 critical ICT service providers under DORA and financial companies supervised by Bafin



Source: Bafin

All of these ICT third-party service providers are of systemic importance to the European financial market, as they support a large number of financial companies in critical or important functions. In future, critical ICT third-party service providers will be monitored by a joint examination team (JET) led by the ESAs and modelled on the Joint Supervisory Teams (JSTs) in the Single Supervisory Mechanism (SSM).

Financial companies remain fully responsible

Despite the monitoring of critical ICT third-party service providers by the lead overseers, financial companies remain fully responsible for compliance with their regulatory requirements. Some financial companies are becoming more cautious and bringing their outsourced activities and processes back into their own organisations (insourcing). Others are considering a multi-vendor strategy. For this reason, DORA requires the assessment and monitoring of third-party risks arising from the use of ICT throughout the entire life cycle. Companies from third countries must establish a subsidiary in the EU in accordance with DORA.

Bafin's line of approach

Bafin will continue to carefully analyse the risks associated with financial sector companies outsourcing to ICT service providers. Monitoring these service providers will also remain a focus for Bafin.

Analysis of third-party relationships

- Bafin will continue to use the DORA register of information for sector-wide analyses of ICT third-party relationships. Bafin will use the register as a basis for identifying systemic risks and any further action that may be required.
- Bafin will ascertain systemic risks based on internal risk models that take into account criteria such as the use of ICT services to support critical or important functions, the possibility of reintegration of the ICT service, the substitutability of ICT third-party service providers, the transmission of personal data, and costs. The results of these evaluations may prompt Bafin to conduct further investigations.

Monitoring of multi-client service providers

- For several years now, Bafin has maintained an ongoing dialogue with leading multinational ICT service providers. This exchange will be expanded to include German ICT third-party service providers with the aim of conducting market analysis.
- Bafin will continue to monitor the central ICT service providers for banking networks and other multi-client service providers operating across the financial sector. It intensified its scrutiny of such service providers in 2025 and will continue to do so in 2026.
- At the European level, Bafin will help staff the JETs and thus support the monitoring of critical ICT third-party service providers under DORA that are important for the German financial market. By participating in the Oversight Forum, which acts as a steering committee, Bafin will be involved in key decisions made by the ESAs regarding critical ICT third-party service providers.

Cooperation with other authorities

- Bafin will participate in international working groups of the G7, the BCBS and the FSB to exchange information on how financial companies and other supervisory authorities deal with third-party risks.
- Bafin will continue to participate in the Digital Cluster Bonn, which brings together six federal authorities in Bonn to strengthen cooperation in the area of digitalisation. Bafin is responsible for the topic of European companies' dependence on IT service providers from third countries, in particular cloud providers.

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6. Risks arising from insufficient measures to prevent money laundering and terrorist financing →

For players on the financial market, the risk of being misused for money laundering and terrorist financing remains heightened. Combating and preventing such crimes remains challenging, as the risk situation is constantly changing and growing more complex. This is partly due to rising geopolitical tensions. The increasing fragmentation of the payment landscape and the expansion of the crypto business heighten the risks even further. The German financial market is particularly at risk due to its size and heterogeneity as well as its central location in Europe.

Separate prevention of terrorist financing and money laundering

While money laundering prevention is relatively well established at the obliged entities, combating terrorist financing is less of a focus. Yet it requires measures that are just as rigorous as those for money laundering prevention. In addition, some custom measures are also necessary, as terrorist financing and money laundering differ in two respects:

1. Source of funds: In the case of terrorist financing, the funds often come from legal sources such as salaries or donations, which are then transferred to criminal networks. In the case of money laundering, the money comes from illegal sources such as criminal offences, and criminals aim to channel it into the legal money cycle.
2. Transaction volume: In terrorist financing, the volume of individual transactions can be very small. As a result, money laundering prevention measures designed to detect larger unusual transactions are not effective in preventing terrorist financing.

Bafin has found in inspections that obliged entities often fail to sufficiently take the risks of terrorist financing into account. It is therefore imperative that they implement effective measures and controls such as reviewing the planned use of funds for transactions or conducting adverse media screening as part of the due diligence process before entering into new customer relationships. In addition, obliged entities can improve prevention by developing their own screening criteria that take into account the special features of evasive terrorist financing transactions

Iran: concealing illegal payments through evasive transactions

Evasive transactions pose major risks. Complex structures are often used to conceal the source of the funds, country-specific risks or the identity of the beneficial owner. Evasive transactions involving high-risk countries are a particular focus for Bafin. Trade flows are also shifting to countries located adjacent to sanctioned countries. Companies that finance trade with these neighbouring countries must take particular care to ensure that no sanctions are circumvented.

One country involved in evasive transactions is Iran. In its supervisory practice, Bafin has increasingly uncovered attempts to conceal transactions and business relationships with Iran. With the renewed entry into force of the Iran sanctions in September 2025, the risk of evasive transactions in business related to Iran has increased significantly. The Financial Action Task Force (FATF) confirmed its assessment of Iran as a high-risk country in October 2025.

It is to be expected that market participants will increasingly attempt to circumvent regulatory requirements through alternative structures or transactions. This is likely to include crypto transactions.

Transactions involving Iran are known to use various circumvention methods, including:

- phantom business (invoicing for goods never delivered),
- price manipulation (over- or under-invoicing the value of goods to illegally transfer assets),

- involvement of multiple actors without a legitimate reason (transactions that chiefly serve to transfer funds, German companies acting as intermediaries between importers and exporters in third countries with no plausible reason).

In order to detect evasive transactions more reliably, obliged entities should review their internal security measures and monitoring systems and adapt them to current risk scenarios so that they can identify suspicious transaction patterns at an early stage. The actual economic or country-specific background of the transactions and the underlying payment flows should be verified in order to ensure transparency.

Extension of the German Money Laundering Act to cover cryptoasset services

The risk of money laundering is rising in tandem with the growing number of transactions on the crypto market. There is an increasing likelihood that existing control mechanisms are being circumvented by crypto transactions and that illegal funds are being laundered on crypto trading platforms. Criminals often use dummy accounts or ↗ mixer-service to conceal their identity and rapidly exchange cryptoassets into other cryptoassets. This makes it difficult for law enforcement agencies to uncover and prosecute the schemes due to the high number of transactions.

The anonymity and speed of crypto transactions make them attractive for more than just money laundering. They are also growing in popularity as a means of financing terrorism. Terrorist organisations are increasingly asking their supporters to donate by transferring digital money. The growing crypto market thus poses a double threat to the integrity of the financial system, as it facilitates both money laundering and the financing of terrorist activities.

Payment service providers remain a focus of supervision

Another increasingly significant risk is posed by payment service providers. Growing online commerce and the increasing use of card payments are making the security measures of payment service providers all the more critical. This also entails a greater risk of organisational weaknesses, such as in customer identification or the risk assessment of contractual partners. To prevent money laundering and terrorist financing even more effectively, companies must tighten their controls and improve their prevention systems.

Bafin's line of approach

Bafin will maintain its high level of supervisory and inspection activity in the banking sector and, in particular, in the non-banking sector. Bafin will continue working to ensure that obliged entities improve their transaction monitoring and data analysis.

Inspections and supervisory measures

- Bafin will inspect the obliged entities across sectors to determine whether their measures to prevent terrorist financing are appropriate and effective.
- Bafin will continue to take a strict stance against any shortcomings identified in the prevention money laundering.
- Bafin will support internationally coordinated law enforcement actions such as “Operation Chargeback”.
- In 2026, Bafin will conduct at least 75 special inspections in the banking and non-banking sectors. The inspections at banks will focus on customer risk classification systems and implementation of the Travel Rule, which has been applicable since December 2024, by cryptoasset service providers. In the non-banking sector, Bafin will focus mainly on measures for monitoring business relationships and transactions.
- Bafin will also conduct an analysis of (high) risk country business at obliged entities in the financial sector in order to assess the money laundering risk and clarify prevention measures. Based on the evaluation, Bafin will take supervisory measures against the obliged entities concerned.
- More than 5,000 agents for EU payment institutions are registered in Germany. Bafin will concentrate on agents with a particularly high risk of money laundering or terrorist financing.
- Bafin will publish guidance on foreign currency dealing in order to provide obliged entities in this sector with specific information on non-account-related business.
- Bafin will make use of the tighter legal framework created by the European Money Transfer Regulation and the amendments to the German Money Laundering Act (Geldwäschegesetz – GwG), particularly with regard to transactions involving self-hosted addresses.

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1. Digitalisation

The digital transformation of the financial sector continues to accelerate. Particularly striking developments include the significant growth of stablecoins denominated in US dollars and the rapid advancement of artificial intelligence (AI). Banks and insurers are increasingly using AI for everything from chatbots to risk modelling. Both developments bring opportunities as well as risks.

Stablecoins

The growth of stablecoins was very dynamic in 2025. So far, stablecoins have mainly been used as a settlement currency in the crypto market.

The market capitalisation of these cryptotokens, which are linked to specific assets such as central bank currencies, rose from around US\$ 200 billion to over US\$ 300 billion during the course of 2025.

The global stablecoin markets are dominated by Tether's USDT and Circle's USDC, both of which are pegged to the US dollar, with USDT boasting a market share of 60% and a market capitalisation of around US\$ 185 billion and USDC a market share of 24% and a market capitalisation of US\$ 77 billion.

By comparison, despite an increase of almost 100% over the previous year, all euro stablecoins together have a significantly lower market capitalisation of only US\$ 674 million as of 4 December 2025.

If confidence in the stability of a stablecoin diminishes, for example due to doubts about the amount and recoverability of the reserve assets held, this can cause the price of the stablecoin to deviate from its target value in what is known as a de-peg event. If a de-peg event persists for a longer period of time, this can lead to significant losses for investors and trigger turmoil in the crypto market. The traditional financial market would primarily be affected if investors were to reverse stablecoin transactions en masse, similar to a bank run. This would force issuers to quickly liquidate their reserves in fire sales. The risk of fire sales is exacerbated by the high degree of concentration in the stablecoin market. The two stablecoins USDT and USDC are among the largest holders of US government bonds. Depending on their market penetration, stablecoins could also have a negative impact on the liquidity situation of banks if consumers were to use them as an alternative to bank deposits.

Development of new payment infrastructures

Large payment services providers, particularly those based in the US, are increasingly integrating blockchain technology into their payment transaction infrastructures. Although these developments are currently taking place outside Europe, these providers control large market shares in the EU and could have a decisive influence on the integration of blockchain technology into EU payment markets.

Crypto ETNs deepen international interconnectedness

Crypto exchange-traded notes (crypto ETNs) are currently gaining ground as investment products for private investors. These are exchange-traded bearer bonds that track the performance of certain underlying assets, typically global cryptoassets such as Bitcoin or indices of various cryptoassets. Crypto ETNs are becoming increasingly relevant in the market: 44% of all ETNs listed on the trading platform XETRA in December 2025 referenced cryptoassets.

On the one hand, this shows the growing acceptance of such investments in the market. On the other hand, the specific risks of the referenced underlying cryptoassets, such as cybersecurity issues and extreme volatility, also affect European issuers and investors. In addition, new concentration risks may arise, as providers of physically replicating crypto ETNs (i.e. ETNs backed by corresponding cryptoassets) need a custodian for their investments. The few specialised custodians, in turn, work with an even smaller number of service providers for the secure storage of the keys required for crypto investments. A disruption due to a cyberattack at one of these providers or custodians could lead to the simultaneous failure of numerous crypto ETNs. This could impact the entire crypto market, leading to a loss of confidence and to fire sales.

Use of AI is on the rise in the financial industry

According to a survey of selected significant institutions (SIs) conducted by the European Banking Authority (EBA), the use of AI in the EU banking sector increased slightly in 2024. The most common areas of application reported were customer service (especially through chatbots), transaction monitoring, fraud detection, risk modelling and credit scoring.

According to the EBA survey, the use of generative AI (GenAI) has increased significantly. This form of AI generates new content such as texts, speech output or images based on input fed into generative models and stored learning data. While around 40% of the banks surveyed were using such technologies at the end of 2024, this figure had risen to over 60% by the first quarter of 2025.

At less significant institutions (LSIs), AI is also mainly used for internal processes: it creates texts, operates chatbots, and supports risk management in fraud detection and cybercrime prevention. In terms of customer contact, it transcribes conversations and operates external chatbots. AI is rarely used in credit checks and trading. Some institutions are exploring the use of AI applications in compliance but have yet to implement them on a large scale. The most popular applications such as co-pilots and internal chatbots often use generative AI.

More and more insurers are also using AI, primarily to increase efficiency and reduce costs. However, AI is rarely used in sensitive areas such as pricing and risk assessment. It is used more in property and casualty insurance and health insurance than in life insurance. The use of generative AI, for example in the form of language models, is still in its infancy. However, it is gaining importance, especially in the form of chatbots, which often serve as support systems. Many companies use cloud services from large technology providers for this purpose. The outsourcing of cloud and data-based AI services is likely to increase in the coming years.

As more and more companies in the financial sector use AI, the associated risks are also becoming more significant. For example, the output of AI systems must be explainable and verifiable. The decisions made by the models must not be influenced by bias, nor may they violate the prohibition of discrimination. In addition, dependence on third-party providers for cloud solutions and AI models can give rise to risks. The number of potential entry points for criminal attacks is also increasing. Last but not least, there is a growing risk of homogeneous investment behaviour based on identical or similar recommendations from the models or automated trading strategies.

In December 2025, Bafin published a guidance notice on ICT risks arising from the use of AI in financial institutions. The guidance notice is non-binding and is intended to help financial institutions implement the regulatory requirements of the Digital Operational Resilience Act (DORA) when using AI.

Quantum Computing: post-quantum cryptography comes into focus

Quantum computing promises a huge increase in computing power compared to existing computers and is therefore also considered a potential game changer in the financial industry. However, quantum computing also presents new risks. One example is the ability to overcome encryption methods that have been considered secure up to now. In light of the current threat posed by the "harvest now, decrypt later" method, companies in the financial sector must act immediately to protect themselves and their customers. Due to rapid technological advances, the European Supervisory Authorities have included the topic of quantum computing in their work programmes for 2026.

Bafin's line of approach

Bafin will continue to closely monitor and evaluate digital innovations on the financial markets. To this end, it will engage in dialogue with market participants, technology service providers and other stakeholders in various formats to discuss new technologies and business models. In addition to AI, it will also focus on quantum computing and innovative payment systems.

Artificial intelligence

- According to the draft law implementing the European AI Act, Bafin will become the competent market surveillance authority for certain high-risk AI systems. In 2026, it will develop a concept for anchoring the supervision of AI systems within Bafin in accordance with the AI Act. Bafin already supervises AI systems under existing laws.

Quantum computing and cybersecurity

- In 2026, Bafin will announce its supervisory expectations for supervised entities in relation to quantum computing. In doing so, it will focus primarily on the issue of cybersecurity and stress the need for entities to take protective measures in good time.

Innovative payment systems and digitalisation

- Bafin will continue to monitor developments in innovative payment options and systems in order to identify any necessary supervisory actions in a timely manner. Stablecoins will be a particular focus.

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2. Sustainability

Sustainability remains a key issue for companies in the financial sector. Ongoing climate change and the long-term damage to important ecosystems are exposing financial institutions to significantly greater physical risks, in particular: flash floods, high water levels and droughts are likely to occur more frequently in the future. This assessment is backed up by data from sources including the World Meteorological Organization and the EU's Copernicus Earth observation programme. According to data from these institutions, Europe is currently the continent warming at the fastest rate.

The transition risks posed by the journey to a sustainable, low-carbon economy also remain relevant. Transition risks can arise if the wishes and expectations of consumers change, if climate policy measures are taken, or if legal requirements are changed. For example, stricter environmental standards can cause the prices of existing real estate to fall. Changing sustainability requirements may increase the default risk of corporate loans at energy-intensive companies. Technological innovations such as the expansion of renewable energies can also trigger transition risks.

The financial sector thus faces two major challenges posed by ongoing climate change – an assessment also shared by the Federal Government's Sustainable Finance Advisory Committee: first, it must quantify and manage the financial risks associated with climate change and biodiversity loss. Second, the industry needs to harness its investment activities, lending and insurance services to support the real economy in its transformation towards decarbonisation and adaptation to climate change. Financial companies

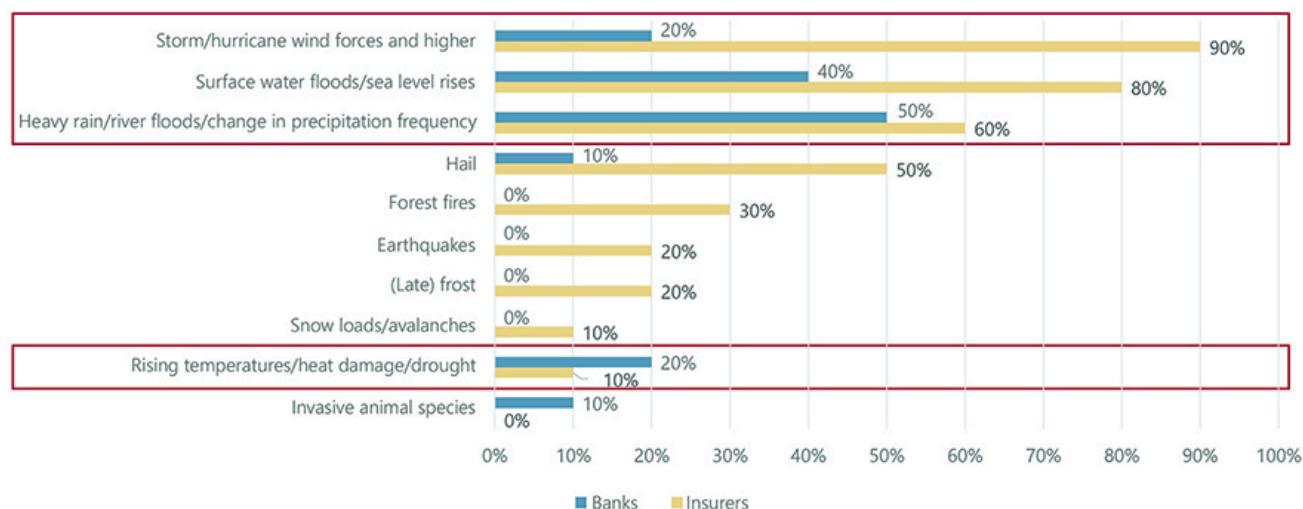
should manage their sustainability risks effectively not just to ensure that they can provide financial support for the ecological transition, but also in their own interest. Particular attention should be paid to the physical risks of climate change. Local extreme weather events, such as the floods in the Ahrtal region five years ago, can hit financial companies with a regional focus especially hard.

Physical risks impact companies to varying degrees

Bafin surveyed a select group of insurers and less significant credit institutions under its direct supervision regarding their approach to physical risks. The business models of the companies surveyed could be particularly vulnerable to natural hazards.

The Bafin survey revealed that the companies surveyed generally take sustainability and ESG risks into account. Almost all of the companies surveyed assumed that extreme weather events will occur more frequently and become more severe in future. Insurers viewed storms, surface water floods and heavy rain as particularly relevant to their business models. Banks, on the other hand, were more concerned with river floods, surface water floods, high temperatures and storms (see Figure 9).

Figure 9: Extreme weather events deemed relevant by companies



Source: Bafin's own survey and diagram.

The data gathered also show that most insurers and all credit institutions surveyed by Bafin take physical risks into account in their risk inventories and materiality analyses. The question of whether these risks have a substantial influence is a different matter. Only 10% of the banks stated that physical climate risks are having a substantial influence on the risk types that are of material significance for them. In contrast, 50% of the insurers surveyed stated that this is the case.

Companies need to make better use of available data

70% of the credit institutions surveyed and 60% of the insurers surveyed considered data availability to be an issue. A lack of data can make it difficult to carry out adequate analysis. Nevertheless, supervised entities must urgently address the physical risks of climate change in a sound manner using existing data. A great deal of information is already publicly available, including geodatabases, flood hazard maps, drought monitors, data on heavy rainfall risks, and models of the probability and impact of droughts, forest fires, avalanches, sea level rise, and heavy rainfall events. Third-party providers can also provide location risk analyses.

In addition, companies can obtain specific data from their contractual partners if they need this information for appropriate risk management. However, they should not cite purported supervisory requirements as an excuse to demand all kinds of data from small and medium-sized business customers. Bafin does not have any such expectations. Supervised entities also have the option of making estimates.

Bafin's line of approach

In 2026, Bafin will intensify its oversight of physical climate risks and the prevention of greenwashing involving questionable products.

In-depth risk analysis

- Bafin will examine the extent to which insurers are affected by physical risks arising from climate change. Its aim is to ensure that insurers model natural disaster risk appropriately. The focus will be on non-life insurers whose specific risk profile is heavily influenced by natural hazards. In addition, Bafin will assess the effectiveness of reinsurance programmes with regard to sustainability risks.
- Bafin will also cover ESG issues in its survey of insurers' investment behaviour.
- In 2026, Bafin will additionally examine how less significant institutions under its direct supervision incorporate physical risks into their risk inventory. To this end, it will conduct supervisory discussions with a number of banks for which physical risks are particularly relevant.
- Bafin will also examine ESG issues in greater depth at banks as part of the Internal Capital Adequacy Assessment Process and when reviewing lending activities.
- In 2026, Bafin will also examine whether the Guidance Notice on Dealing with Sustainability Risks should be updated and which ESG issues should be addressed across sectors.

Greenwashing

- Bafin will conduct random checks to ensure that companies comply with the requirements of the EU Sustainable Finance Disclosure Regulation (SFDR), [Bafin's Guidance Notice on Allocation Methodology](#) and other sustainability-related rules, such as the [ESMA Guidelines on Fund Names](#) and the mandatory assessment of clients' sustainability preferences in accordance with [ESMA's ↗ Guidelines on certain aspects of the MiFID II suitability requirements](#).
- Bafin will make even greater use of its legal powers when reviewing base prospectuses and the related advertising for securities issues. In doing so, it aims to prevent greenwashing more effectively. Among other things, Bafin will ensure that the information on sustainability is balanced and that there are no contradictions between the base prospectus and the advertising.
- Bafin will conduct random checks to verify whether retail funds comply with their commitments to make ESG-compliant investments. In this way, Bafin aims to prevent greenwashing and ensure that asset management companies comply with their contractual agreements with investors.
- Bafin will also review securities prospectuses in line with its greenwashing concept.
- Bafin will conduct a market investigation into greenwashing in capital investments.

Examinations to strengthen market transparency

The Corporate Sustainability Reporting Directive (CSRD) stipulates that sustainability reporting is to become a mandatory, integral part of the (group) management report or financial statements of certain companies for the first time. Under the CSRD, the companies concerned must also submit reports in accordance with the European Sustainability Reporting Standards (ESRS). As soon as the German implementing law for the CSRD enters into force, Bafin will also carry out both random and ad hoc examinations of the sustainability reporting included in the (group) management report during its financial reporting enforcement.

More articles from the Risks in Focus 2026

[Risks in Bafin's Focus 2026](#)

Financial market risks in Bafin's focus 2026

- 1. Risks arising from significant corrections on the international financial markets ↑
- 2. Risks arising from corporate loan defaults →
- 3. Risks arising from the commercial real estate markets →
- 4. Risks arising from cyber incidents with serious consequences →
- 5. Risks arising from market concentration due to the outsourcing of ICT services ↑
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Trends

- 1. Digitalisation
- 3. Geopolitical turmoil

Risks for consumers in Bafin's focus 2026

- Consumer financing on credit ↑
- Investments in cryptoassets and the influence of social media on investment behaviour ↑
- Costs for endowment insurance (*kapitalbildende Lebensversicherung*) →

3. Geopolitical turmoil

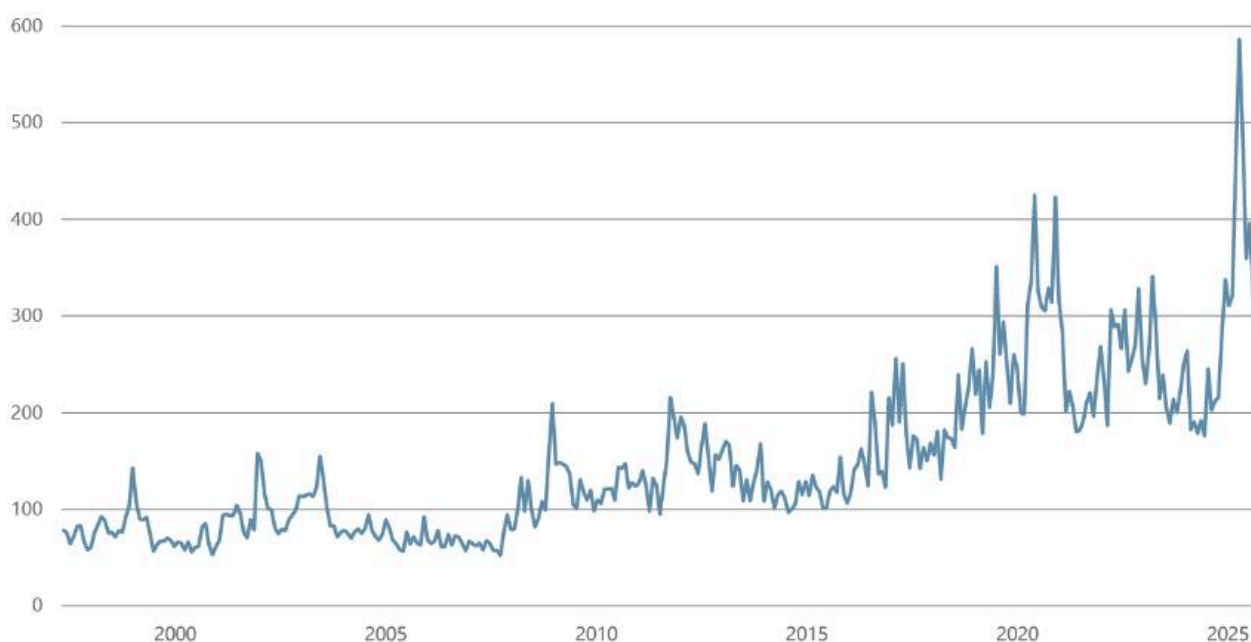
The economic and political environment is characterised by global trends towards fragmentation and geopolitical upheavals. The German economy and financial sector are highly interconnected globally, creating dependencies and vulnerabilities with high potential risks for financial stability.

Geopolitical developments do not constitute a separate risk category, but they affect almost all the types of risks relevant for supervision that are faced by supervised entities. Negative effects may be direct (e.g. through credit and market risk exposures in affected regions), indirect (e.g. through disruptions in foreign trade and supply chains) or hybrid in nature (e.g. through cyberattacks or acts of sabotage).

World trade order in upheaval

The increase in geopolitical tensions worldwide is leading to greater uncertainty and a massive loss of confidence at all levels: in politics, in the real economy and on the financial markets. The global tariff offensive launched by the new US administration in spring 2025 has significantly increased economic uncertainty (see Figure 10). The tariffs were perceived by most US trading partners as unbalanced, aggressive and extremely risky for economic development, both globally and especially in the US itself. The trade agreement between the EU and the US in July 2025 has eased the situation somewhat. However, the agreed tariffs and the continuing high level of uncertainty are having a lasting negative impact on the growth prospects for the European export industry. They may cause companies to rethink their investments.

Figure 10: Economic Policy Uncertainty Index



Source: Baker, Scott R., Nicholas Bloom and Steven J. Davis, *Economic Policy Uncertainty Index*, data retrieved from policyuncertainty.com, Bafin diagram; as at 26 November 2025.

The trade conflict between the US and China also continues to smoulder. Import and export controls from various sides and other trade measures are having additional negative knock-on effects on the German economy. Another consequence of the trade disputes is that Chinese products originally intended for the US market are increasingly being exported to other regions, including Southeast Asia, Africa and Europe. Exports from China to the EU have already risen by 8.2% year-on-year. Since the third quarter of 2025, China has replaced the US as Germany's most important trading partner, which is also due to the significant increase in Chinese imports.

Geopolitical conflicts put pressure on national budgets

The increasing threat of geopolitical tensions and increased efforts to strengthen defence capabilities are also driving up defence spending in Europe. Concerns about sovereign debt sustainability and fears of the impact of global tariff conflicts have pushed yields on government bonds from many euro area countries, the US and the UK to long-

term highs in the course of 2025, with yields on long-term government bonds rising more sharply than yields on shorter-term bonds. This could have negative valuation effects for banks and insurers, but these appear – as at the end of 2025 – to be manageable.

Geopolitical turmoil complicates the valuation of assets

Companies in the financial sector need to address geopolitical risks. The resulting market volatility makes it difficult to value assets in fund portfolios, especially illiquid assets such as real estate, private equity and emerging market bonds. Nevertheless, funds must be valued regularly, for example for share price calculations or statutory reporting requirements.

Increasing volatility caused by geopolitical risks also affects insurance companies. Valuation uncertainty is rising, and there is a risk of write-downs on investments, which would weigh on insurers' earnings. In addition, increased volatility in the form of declining solvency ratios can have a negative impact on the risk-bearing capacity of insurance companies.

Conflicts are increasingly shifting to cyberspace, increasing the risk of sabotage

In the face of growing geopolitical tensions, state-sponsored cyberattacks are also growing in importance. These attacks pose a particular challenge, as covert state or state-sponsored attackers operating from cyberspace often have extensive and sophisticated technical resources at their disposal. The findings of ⁷ [Digital Defense Report by Microsoft](#) also show the relevance and pressing nature of such threats from cyberspace. According to the report, the number of suspected cyberattacks by Russia on members of the [NATO](#) defence alliance has risen by 25% in the past 12 months. The [US](#), the [UK](#) and [Germany](#) are identified as primary targets in the report.

[The German Federal Office for Information Security \(BSI\)](#) warns that critical infrastructure facilities are particularly at risk of attack. This means that parts of the financial sector, as critical infrastructure, are also a prime target for cyberattacks. [Over the past two decades, around 20% of cyberattacks recorded worldwide have targeted the financial sector. Given the tense geopolitical situation around the world, there is an increased risk that cyberattacks will destabilise not only individual financial services providers, but entire markets.](#) Confidence in the market may decline, partly as a result of targeted disinformation campaigns. This could result in increased liquidity outflows at banks, for example.

Furthermore, companies are increasingly outsourcing IT services to external providers such as cloud providers, which increases the potential attack surface and reinforces geopolitical dependencies, [as the three cloud hyperscalers relevant to the market are based in the US.](#)

In addition to the threat from cyberspace, there is still a risk of physical and digital sabotage of critical infrastructure. The more energy and transport networks are affected,

the greater the systemic risks, as these networks are closely intertwined with industry and trade. For example, the Nord Stream explosions in 2022 led to sharp rises in gas prices and increased energy insecurity, which put a strain on energy-intensive companies. Germany's rail transport sector was particularly affected in 2025, as the rail network was hit by a growing number of sabotage attacks.

Such disruptions affect the profits, liquidity and creditworthiness of companies and thus also have an indirect impact on banks, insurers and capital markets. In addition, serious acts of sabotage can lead to increased market volatility and a loss of confidence. This can make refinancing more expensive for companies. Insurers, in turn, face an increasing claims burden. Overall, previous cases show that sabotage of infrastructure not only causes technical disruptions, but can also lead to significant financial burdens and shifts in risk throughout the entire financial system.

In addition, German commercial enterprises are directly affected by data theft, sabotage and espionage. The resulting damage to the German economy in 2025 was 8% higher than in 2024 and amounted to €289.2 billion according to the ↗ [Economic Security Study](#) conducted by Bitkom e.V.

Handling of geopolitical risks

Financial market participants should address potential risks, for example by conducting internal stress tests and scenario analyses. They should then devise appropriate measures based on their findings. It is now more important than ever to have sufficient capital and liquidity buffers and to manage operational risks effectively.

Bafin's line of approach

Bafin will continue to monitor the geopolitical situation and examine its potential impact on the economy and the German financial system. Bafin will ensure that financial institutions address geopolitical risks appropriately in their risk management.

Analysis of credit and market exposure

- Bafin will conduct selective and ad hoc analyses to examine the consequences of relevant geopolitical scenarios for the German financial market. In doing so, it will examine whether individual supervised entities have a concentration (cluster risks) of loans, capital investments or other exposures to specific regions, companies, sectors or industries that are affected by a difficult geopolitical situation. Bafin will carry out these analyses for both credit institutions and (re)insurers.

- Specifically, Bafin will look at the exposure of institutions and insurers to countries, companies and economic sectors that are suffering from the direct or indirect consequences of geopolitical developments. This includes the effects of wars and crises, international sanctions, restrictions on market access or significant disruptions to global value chains.

More articles from the Risks in Focus 2026

Risks in Bafin's Focus 2026

Financial market risks in Bafin's focus 2026

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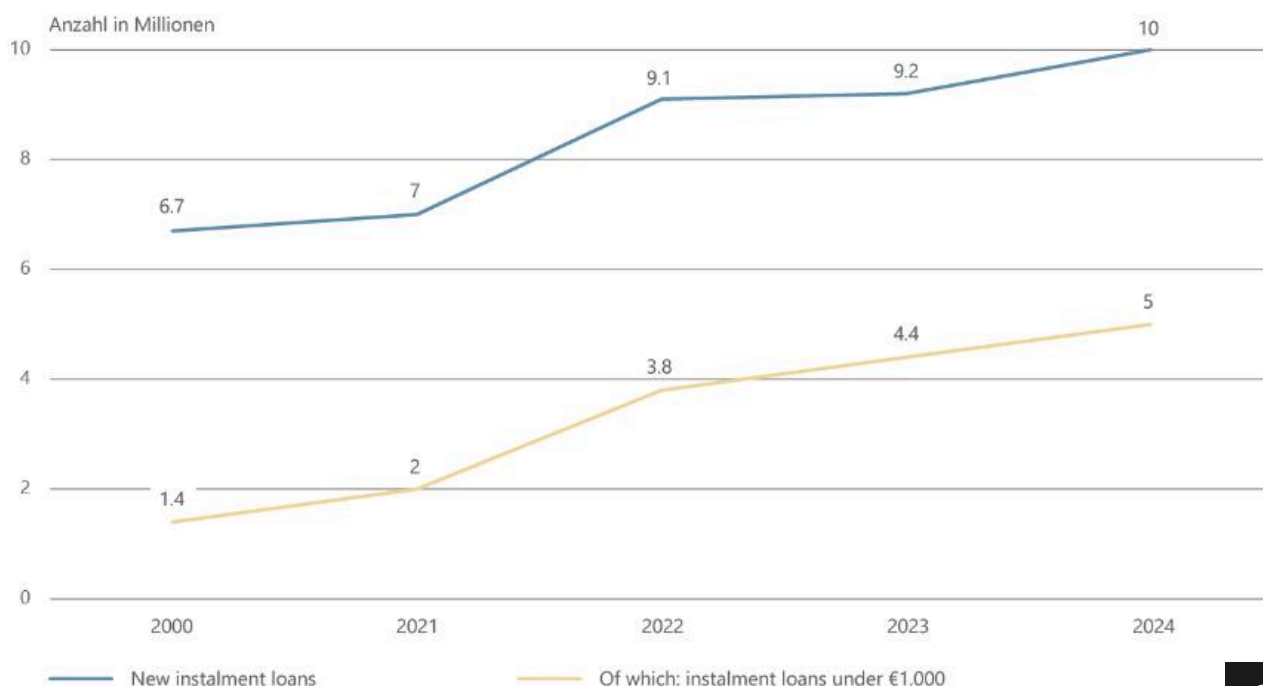
Consumer financing on credit ↑

The number of over-indebted consumers rose again in 2025, for the first time since 2018. According to the comprehensive breakdown of indebtedness in Germany (↗ <https://www.creditreform.de/aktuelles-wissen/schuldneratlas>) published by Creditreform in November 2025, this number was around 5.67 million or 8.16% of the population over the age of 18. This constitutes a 2% increase compared to the previous year and reflects the increased risk of the situation.

Over-indebtedness does not usually have just one cause. According to Creditreform, one reason for consumer indebtedness or even over-indebtedness can be unsustainable consumer loans.

The SCHUFA Risik and Credit Compass from 2025 shows that in 2024, for the first time, more than ten million new instalment loan agreements were concluded – an increase of 50% since 2020. This growth is being driven in particular by instalment loans of less than €1,000, which now account for around half of all new contracts (see Figure 11).

Figure 11: New instalment loan agreements concluded per year



Source: Bafin diagram based on the SCHUFA Risk and Credit Compass, as at 1 December 2025.

The number of existing instalment loans is also increasing: according to SCHUFA, there were 19.6 million contracts in 2024, compared to 17.6 million in 2020. Here, too, existing instalment loans of less than €1,000 rose sharply: from 1.3 million contracts in 2020 to 3.8 million in 2024.

Taking on debt to purchase consumer goods and services seems to be becoming more and more common for consumers. The ability to assess loan conditions, however, requires financial literacy. From a consumer protection perspective, Bafin considers it problematic that this is precisely what many consumers lack.

Lack of financial literacy

Bafin had pointed out in 2022 that many consumers do not compare the conditions of consumer loans and therefore often accept interest rates that are higher than necessary.

According to the results of Bafin surveys from 2025 on credit card use and the use of “buy now, pay later” payment products in online shopping, consumers are very familiar with the benefits and less familiar with the risks, especially when it comes to small and micro loans.

Many consumers who use revolving credit cards – i.e. loans with a partial payment facility – are unaware of the credit conditions. Most find it difficult to work out, using a simple example, how long it will take to repay a credit card loan in instalments, including interest.

In the case of online shopping, the combination of impulse purchases and delayed payment through “buy now, pay later” schemes can increase the risk that consumers will lose track of their actual financial commitments.

Consumer financing with revolving credit cards

Revolving credit cards are credit products. Consumers can pay off the balance on their credit card statement in instalments. This involves taking out a credit card loan for which they have to pay interest.

The 2025 Bafin survey on credit card use revealed that 10% of credit card users use revolving credit card loans. Three quarters of them stated that the repayment type “in instalments” was preset by the institution. At the same time, seven out of ten respondents who use credit card instalment payments did not know what interest rate was charged.

This is crucial information, however: for credit card loans, the annual percentage rate (APR) can currently be as high as 25%. The APR can therefore be almost three times as high as the average interest rate for instalment loans that banks grant to private households. According to a survey by the Deutsche Bundesbank, this was between 8.1% and 8.6% in 2025. If the affected parties then also pay low minimum instalments, the times to maturity are long, and the loan costs can rise considerably.

Those consumers who do not know that they are paying off their credit card loan in instalments or do not know the interest rate may have to pay surprisingly high loan costs.

Buy now, pay later

Buy now, pay later (BNPL) is a scheme that is mainly used for micro and short-term loans. This payment method is offered in online retail with a view to increasing sales. The payment service providers involved work together with merchants and are made visible to shoppers at checkout for an online purchase. BNPL is usually offered as one of several payment options. The amounts involved are often less than €200. Online merchants pay the payment service provider a share of the purchase price as a fee. Most payment service providers transfer the full purchase price to the merchant minus a fee, take over the claim and receive the money from the buyer.

Access to BNPL is low-threshold. BNPL enables consumers to finance their purchases with ease, in a matter of clicks. There are various models for this:

- the instalment loan, which usually incurs interest, and
- purchase on account, usually interest-free; the amount is generally debited from the account 30 days later or paid as a monthly invoice. However, consumers do not only use the purchase on account option if they do not have the necessary funds available at the time of purchase. Consumers also select purchase on account to be able to inspect the purchased goods before paying for them or because it is convenient and risk-free.

What the models have in common is that consumers pay the purchase price to the payment service provider later on – not to the retailer. BNPL is not limited to online purchases: some online retailers also allow consumers to use BNPL when paying in-store, for example with an instalment payment plan.

In the case of micro and short-term loans, consumers are currently not protected by the regulations for general consumer loans. One consequence of this is that the payment service providers involved do not have to conduct a credit check before granting a loan. Consumers must therefore assess for themselves whether they can afford the purchase. This assessment poses problems for some, as shown by the aforementioned Bafin consumer surveys from 2025.

Although this gap in consumer protection has largely been filled by the amendment to the Consumer Credit Directive (see info box), Bafin still sees consumer risks arising from the BNPL market.

The new Consumer Credit Directive

The EU Consumer Credit Directive has been revised by European lawmakers to better protect consumers from over-indebtedness. In future, consumer protection regulations will also apply to forms of credit not previously covered, in particular interest-free and short-term loans as well as loans under €200. This also includes the “buy now, pay later” model. The national implementing law is currently

going through the legislative process in the German Bundestag and provides for the new regulations to come into force on 20 November 2026.

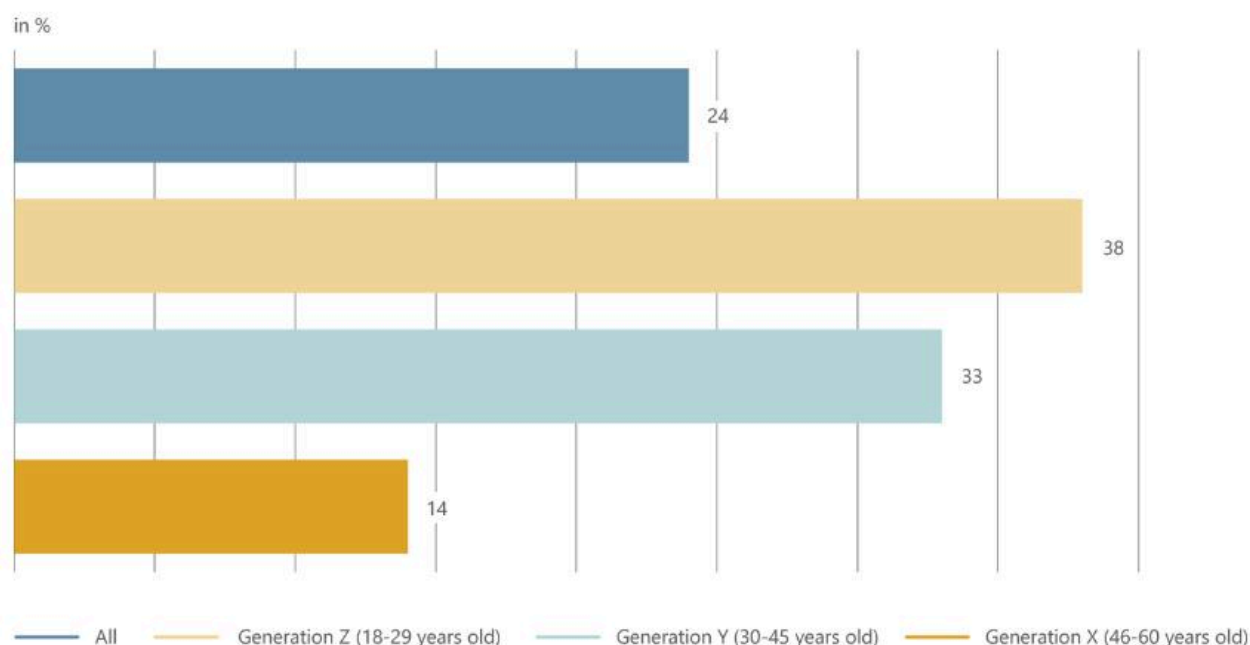
Although the statutory obligations to perform credit checks have been expanded, and have thus improved the framework conditions for consumers, one problem still remains: the possibility of financing may tempt consumers to make ill-considered impulse purchases and lose track of their own finances. It is important that they be made aware of the need for a cautious approach to consumer financing.

It remains to be seen how providers will adapt their business models to the stricter requirements. Bafin will monitor the effect that the new regulations have on the behaviour of providers and consumers.

BNPL can lead to impulse buying and make it difficult to keep track

The Bafin survey shows that the BNPL option for online purchases often gives rise to higher expenses than intended. This has been the experience of around a quarter of the BNPL users surveyed. Young consumers in particular tend to make such impulse purchases when they are able to use BNPL, as Figure 12 illustrates this clearly.

Figure 12: Respondents who have made an impulse purchase using BNPL

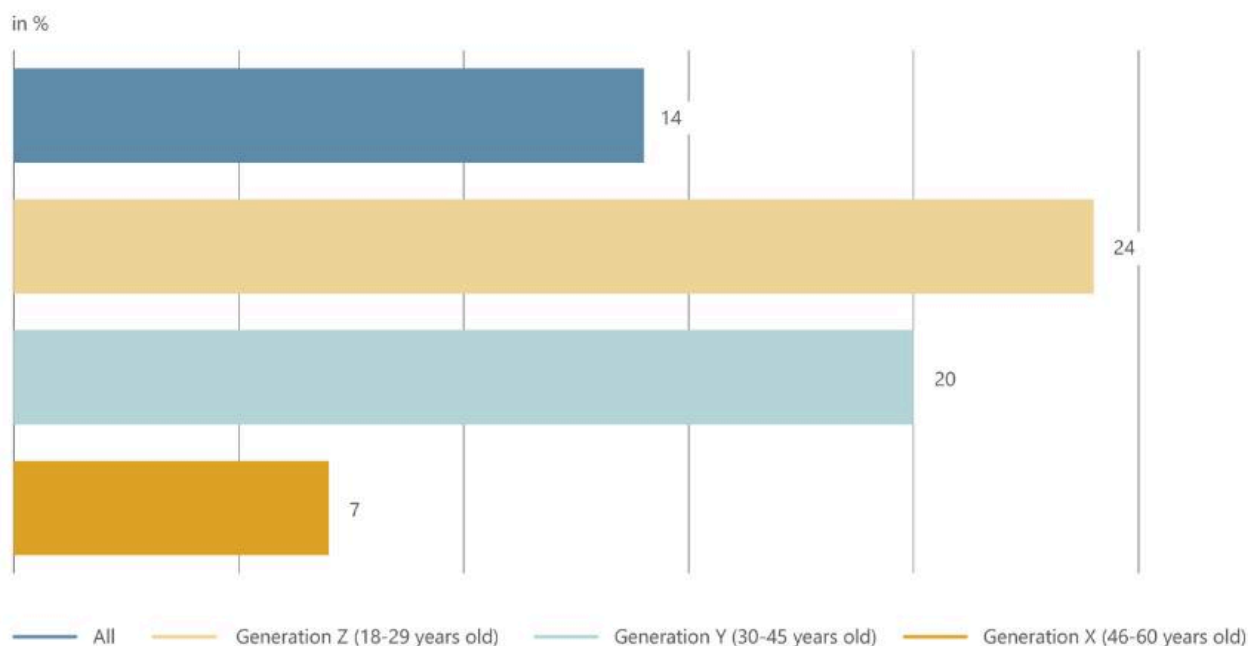


Source: Representative consumer survey by Bafin (2025) – 1,000 consumers who have made an online purchase using BNPL in the past year, ages 18 to 60.

Due to its ease of use and the often low amounts involved, BNPL tempts consumers to make multiple credit-financed purchases in a short period of time. As a result, con-

sumers may lose track of their unpaid bills: according to the Bafin survey, this has happened to 14% of the BNPL users surveyed. Here, too, young consumers are particularly affected, as shown in Figure 13.

Figure 13: Respondents who have lost track of unpaid bills due to BNPL



Source: Representative consumer survey by Bafin (2025) – 1,000 consumers who have made an online purchase using BNPL in the last year, ages 18 to 60.

This is often not without consequences. Of the 1,000 BNPL users surveyed, 10% had borrowed money from family or friends, 8% had used a credit card, 7% an overdraft facility and 4% another type of loan to pay off their BNPL debts. According to their own statements, 3% sought debt counselling due to their BNPL debts. In addition, it is still unclear whether consumers are using BNPL instead of taking out other loans, or whether BNPL is contributing to an increase in credit financing.

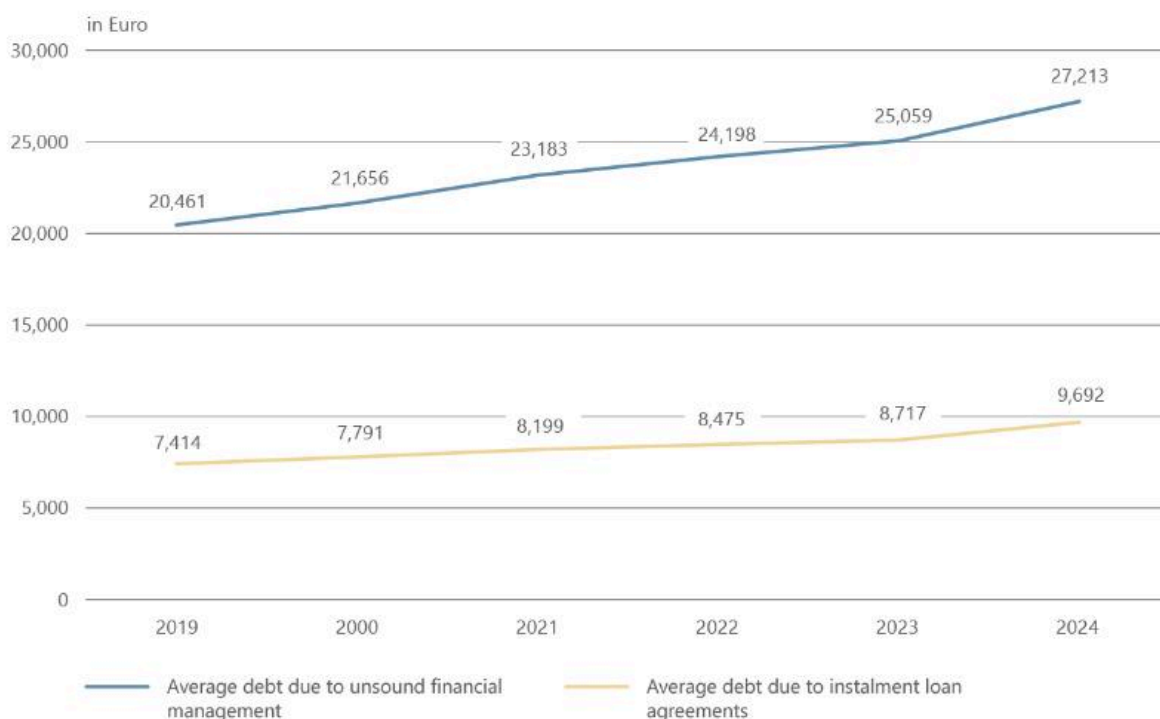
From debt to over-indebtedness

Comprehension difficulties, impulse purchases, losing track of purchases and increased costs for BNPL and credit cards can, in a worst-case scenario, lead to over-indebtedness among consumers. Consumers are considered over-indebted if their income or assets are not sufficient to pay off their debts or if they are unable to take out a loan.

However, further over-indebtedness through consumer financing is on the rise among already over-indebted consumers. According to the German Federal Statistical Office (Destatis), the average debt of consumers who are already over-indebted or at risk of over-indebtedness ⁷ has risen sharply since 2019 due to unsound financial management and instalment loans. In the case of instalment loans, this figure has risen by around 31% – from €7,414 in 2019 to €9,692 in 2024 (see Figure 14). Unsound financial

management, defined by Destatis as permanently spending beyond one's means, is a contributing factor. The reasons are excessive consumption and a lack of financial literacy, which are reflected in unnecessary contracts and ignored payment obligations.

Figure 14: Average debt of consumers in Germany who are already over-indebted or at risk of over-indebtedness*

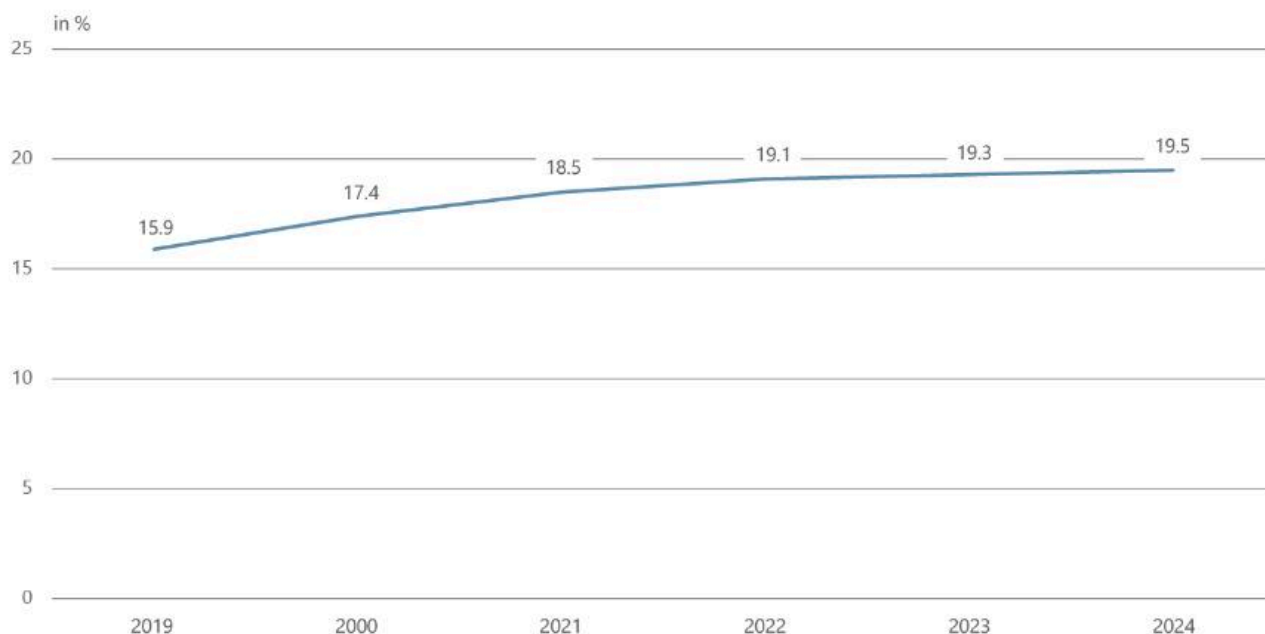


*Over-indebtedness statistics, based on voluntary reports from 737 debtor and insolvency advice centres with limited representativeness, codes: 63511-0001 and 63511-0008; as at 1 December 2025.

Source: Bafin diagram using data from the Federal Statistical Office (Destatis), 2025.

The average debt that over-indebted consumers or consumers at risk of over-indebtedness incur with mail-order companies and online retailers has also increased: from €515 in 2019 to €644 in 2024. In addition, the percentage of over-indebted consumers with more than 20 creditors is growing. In 2024, 19.5% of the approximately 580,000 over-indebted consumers had more than 20 creditors, compared to 15.9% in 2019 (Figure 15). This proportion is higher for vulnerable groups such as single parents. Among single mothers with one child, the proportion of over-indebted persons with more than 20 creditors was 23.9% in 2024.

Figure 15: Proportion of consumers advised on over-indebtedness who have more than 20 creditors*



**Over-indebtedness statistics, based on voluntary reports from 737 debtor and insolvency advice centres with limited representativeness, code: 63511-0006; as at 1 December 2025*

Source: Bafin diagram using data from the Federal Statistical Office (Destatis), 2025.

Bafin's line of approach

Bafin will continue to monitor compliance with the regulatory requirements for consumer loans, particularly in the rapidly growing "buy now, pay later" market. At the same time, it will expand its information services in order to strengthen consumers' competence in matters relating to consumer loans.

Analysis of consumer behaviour and market monitoring

- Bafin will continue to monitor the "buy now, pay later" phenomenon. Building on the results of its first representative consumer survey, published in 2025, Bafin will again survey consumers regarding BNPL in order to create a time series on the development of this payment behaviour.
- Bafin will also conduct market analyses to ascertain whether the stricter regulations on creditworthiness checks resulting from the amended Consumer Credit Directive are being complied with, particularly by BNPL providers.
- If any shortcomings are identified in the implementation of the stricter regulations, Bafin will take measures on a case-by-case basis.

Updates for consumer information

- Bafin will review and update its consumer information based on the results of the consumer surveys regarding BNPL and credit cards as well as the new requirements of the amended Consumer Credit Directive.

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Trends

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- 2. Sustainability
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- Investments in cryptoassets and the influence of social media on investment behaviour ↑
- Costs for endowment insurance (*kapitalbildende Lebensversicherung*) →

Investments in cryptoassets and the influence of social media on investment behaviour ↑

Cryptoassets are gaining in popularity among German consumers, although they continue to pose an increased risk.

In many places, it is now possible to invest indirectly in cryptoassets, for example through shares in investment funds to which cryptoassets embedded in tradable security structures have been added, or through exchange-traded notes (ETNs). So far, consumers have mainly been able to buy cryptoassets on trading platforms, on exchanges for cryptoassets and from neobrokers who also advertise payment transactions with cryptoassets. Traditional branch-based banks intend to follow suit. In 2025, the German Savings Banks Association (Sparkassen- und Giroverband – DSGV) announced that savings banks will offer trading in cryptoassets from 2026. According to a survey published in September 2025 by the German association of cooperatives, the [Genoverband](#), 71% of German cooperative banks intend to look into options for implementing a new technical solution for crypto trading.

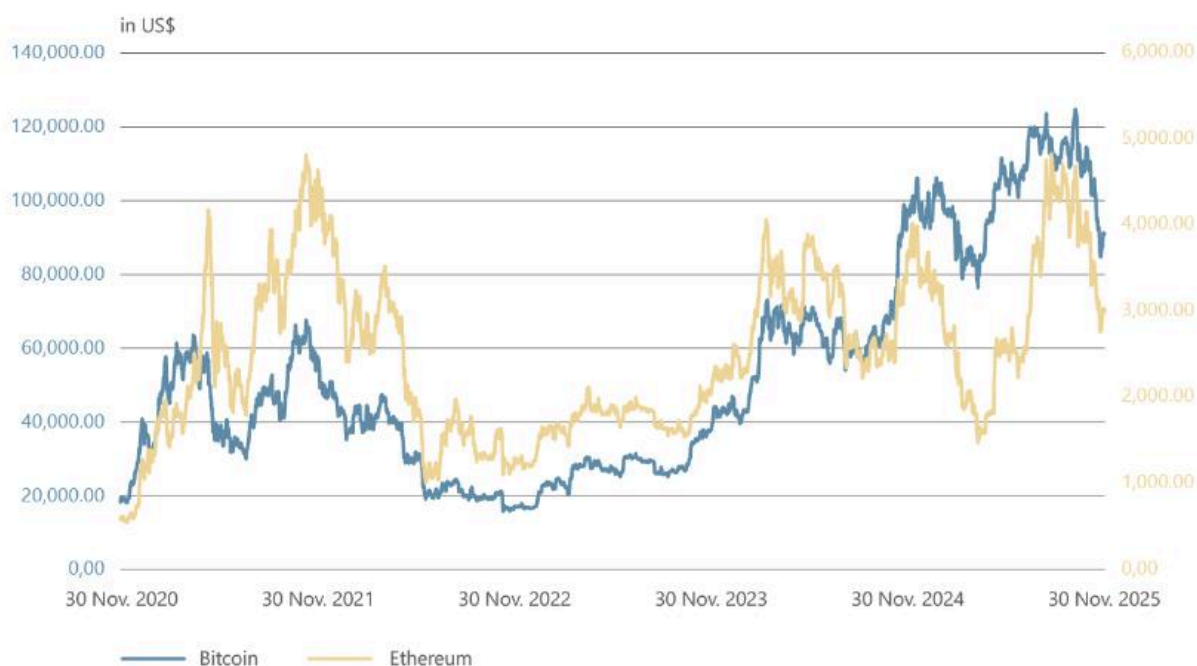
Risk of value fluctuations and total loss

The range of cryptoassets on offer is very diverse and includes both regulated and unregulated products. Regulated products include the following types of cryptoassets in particular: e-money tokens (EMTs), asset-referenced tokens (ARTs), utility tokens and cryptoassets that are considered MiFID financial instruments, such as derivative contracts. Consumers can also purchase unregulated cryptoassets. These include cryptoassets that are unique and non-fungible, for example virtual real estate, cryptoassets with no recognisable issuer and cryptoassets provided by companies that are not authorised in the EU.

Consumer protection in relation to investments in cryptoassets was strengthened at the end of 2024 with the entry into force of the Financial Market Digitalisation Act (Finanzmarktdigitalisierungsgesetz – [FinmadiG](#)). The FinmadiG implements, among other things, the Markets in Crypto-Assets Regulation (MiCAR) into national law; MiCAR lays down new consumer protection regulations for the issuance, trading and custody of cryptoassets. For the market in cryptoassets, this has created a comprehensive legal framework that provides increased legal certainty for consumers. Nevertheless, the crypto market continues to pose risks.

Cryptoassets without inherent value are the predominant offerings on the crypto market. In December 2025, the cryptoassets with the highest market capitalisation were Bitcoin (approximately US\$1.8 billion, 53% of total market capitalisation) and Ethereum (approximately US\$380 billion, 11% of total market capitalisation).

Both showed high volatility. High fluctuations in value can also occur during the year or even within days (see Figure 16). From the beginning of 2025 to April 2025, Ethereum fell from around US\$3,300 to US\$1,500 – a drop of 54% in four months. On 1 December 2025, Ethereum stood at around US\$2,800 – almost twice its value since April 2025. Bitcoin shows similar fluctuations.

Figure 16: Performance of Bitcoin and Ethereum

Source: Bafin diagram using data from CoinGecko, as at 1 December 2025.

This high volatility makes cryptoassets a highly speculative investment for consumers.

Cryptoassets involve cyber risks

Loss of access, phishing and hacker attacks are just some of the dangers that consumers need to be aware of, especially when investing directly in cryptoassets. This also includes the risk that the cryptographic processes used today could potentially be de-encrypted in the future by powerful quantum computers.

For consumers who store their cryptoassets in their own wallet, access is secured by a digital cryptographic key (private key). If this private key is lost, the entire balance may be lost; unlike in online banking, for example, the private key cannot be recovered.

In the case of phishing, fraudsters try to steal the access data to a wallet in order to steal the funds in the wallet. To this end, they send emails or text messages, contact consumers on social media or call them, pretending to be employees of an online trading platform, for example.

Crypto exchanges can also be the target of hacker attacks. In February 2025, the largest known theft to date occurred on the Dubai-based crypto exchange Bybit: hackers stole 400,000 Ethereum tokens worth around US\$1.4 trillion. Other hacker attacks, such as on Swissborg (2025: tokens equivalent to approximately US\$42 million) or DMM Bitcoin (2024: tokens equivalent to approximately US\$320 million), show that this is not an isolated case.

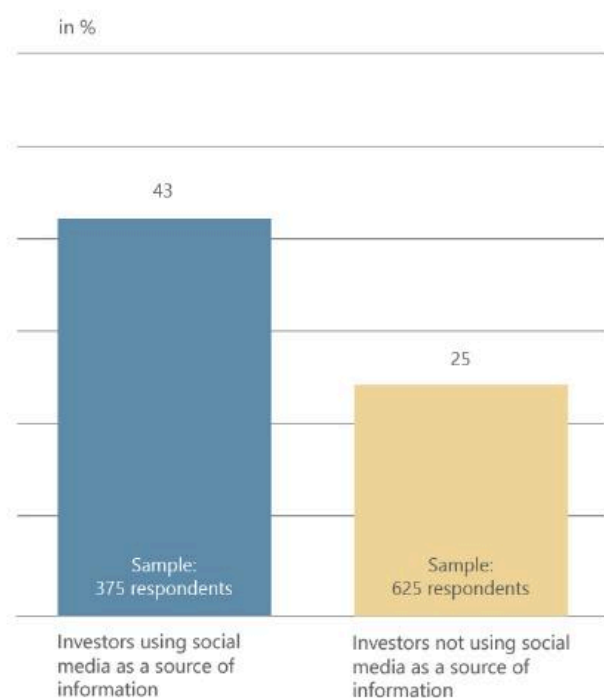
Hacker attacks on companies that offer crypto custody services pose a particular risk for consumers, as there is no deposit protection similar to that for savings deposits.

Role of social media and influencers

Consumers from generations Y and Z – i.e. between the ages of 18 and 45 – are increasingly using social media as a source of information, including on financial topics. A representative Bafin consumer survey from 2024 found that over half of 18- to 45-year-old investors have obtained information on financial products via YouTube, Instagram and the like. Of the respondents, 60% see social media as a good alternative to professional advice and welcome the opportunity to discuss financial topics with other consumers on social media. Their investment behaviour is strikingly different to that of consumers who do not consult social media when it comes to investing.

For example, 43% of investors who regularly use social media to find out about financial topics have bought cryptoassets. On the other hand, only 25% of investors in cryptoassets do not use social media as a source of information (see Figure 17).

Figure 17: Buyers of cryptoassets with and without use of social media on financial topics*



*1,000 consumers who have invested money in the past two years, ages 18 to 45. Of the investors surveyed, 375 regularly use social media as a source of information on financial topics; 625 do not.

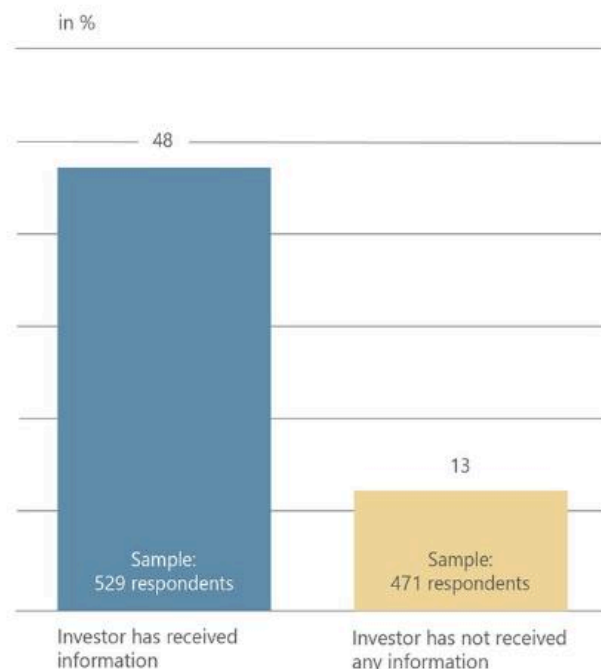
Source: Bafin representative consumer survey (2024).

Financial influencers, or “finfluencers”, have a major impact on how information on financial topics is communicated on social media. According to the representative consumer survey conducted by Bafin in 2024, more than half of 18- to 45-year-old investors have received information from a finfluencer. About half of the investors who received influencer information bought the recommended product on this basis.

There are also finfluencers with insufficient expertise or questionable motives who may induce consumers to make risky investments. The Bafin consumer survey shows that those who have had contact with finfluencers invest much more speculatively.

Cryptoassets are a particularly striking example of this: almost half of the respondents who have come into contact with finfluencers have purchased cryptoassets. By comparison, only 13% of investors between the ages of 18 and 45 who have not obtained information from finfluencers have invested in cryptoassets (see Figure 18).

Figure 18: Buyers of cryptoassets with and without influencer information on financial topics*



*1,000 consumers who have invested money in the past two years, ages 18 to 45. Of the investors surveyed, 529 have received information on financial topics from finfluencers (e.g. YouTube video or Instagram post); 471 have not received this information.

Source: Bafin representative consumer survey (2024).

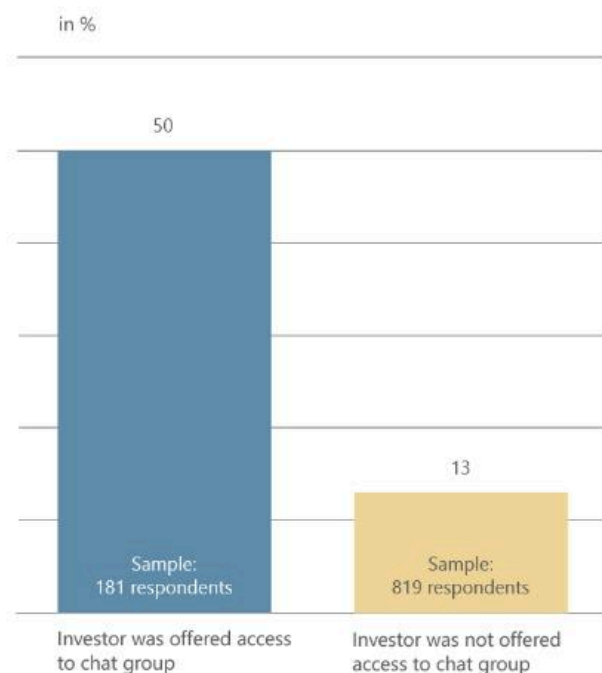
Dubious crypto offers are widespread

The crypto sector provides a wide field for dubious players. One example is the trading in memecoins, often driven by social media. These reached a global market capitalisation of around US\$48 billion in December 2025. The best-known example is Dogecoin, which alone accounts for approximately US\$22 billion of market capitalisation.

Memecoins are more like a game of chance than an investment. The price of a meme-coin depends solely on demand. This makes them particularly risky for consumers. Dubious finfluencers can strongly influence the price by hyping or disparaging the investment and inducing consumers to act hastily, thereby tapping into their “fear of missing out”.

Chat groups set up by finfluencers on platforms such as WhatsApp, Discord or Telegram are also risky. As Figure 19 shows, such groups can lead to riskier investments. The decision to invest in cryptoassets differs significantly between investors who have been given access to a chat group by a finfluencer and those who have not been given access.

Figure 19: Buyers of cryptoassets with and without chat group access offered by influencers*



**1,000 consumers who have invested money in the past two years, ages 18 to 45 years. A total of 181 investors have been offered chat group access by a influencer; 819 have not been offered this access.*

Source: Bafin representative consumer survey (2024).

Chat groups involve further risks: consumers are often pressured into making investments by means of aggressive demands and a false sense of urgency. Fraudsters use these chat groups to inspire confidence with false identities and then make dubious investment recommendations. In 2025, Bafin published around 100 warnings about dubious or fraudulent chat groups, most often on WhatsApp.

Bafin's line of approach

In order to protect investors, Bafin will continue to supervise market participants in its area of responsibility and inform consumers about the risks on the crypto market.

It is not Bafin's responsibility to directly supervise influencers. However, influencers are subject to supervisory requirements for certain activities, for example when they provide investment advice or make investment recommendations. Influencers – like any other person – are also subject to the market abuse rules of MiCAR, such as the prohibition of market manipulation and insider dealing.

Monitoring the crypto market

- Cryptoasset services may only be provided if Bafin has granted authorisation. Bafin will continue to supervise cryptoasset service providers (CASPs) with regard to their compliance with rules of conduct and organisational requirements and take measures where necessary.
- Bafin will survey consumers on their knowledge and experience with cryptoassets in 2026.

Information for consumers

- Bafin will expand the range of information it provides to consumers on trading in cryptoassets. A random market screening of selected German-speaking influencers on the social media channels YouTube and Instagram will be the first step in this process. Bafin will also continue to publish warnings about dubious crypto offers. This will enable consumers to make informed decisions and critically evaluate influencer tips.
- In addition, in 2026 Bafin will continue to provide information about investment tips found on social media – at trade fairs and other consumer events, on its website and on social media. Bafin will also host webinars on the dangers of investing online and on cryptoassets in 2026.

More articles from the Risks in Focus 2026

Risks in Bafin's Focus 2026

Financial market risks in Bafin's focus 2026

- 1. Risks arising from significant corrections on the international financial markets ↑
- 2. Risks arising from corporate loan defaults →
- 3. Risks arising from the commercial real estate markets →
- 4. Risks arising from cyber incidents with serious consequences →
- 5. Risks arising from market concentration due to the outsourcing of ICT services ↑
- 6. Risks arising from insufficient measures to prevent money laundering and terrorist financing →

Trends

- 1. Digitalisation

- 2. Sustainability
- 3. Geopolitical turmoil

Risks for consumers in Bafin's focus 2026

- Consumer financing on credit ↑
- Costs for endowment insurance (*kapitalbildende Lebensversicherung*) →

Costs for endowment insurance →

Endowment insurance is an important component of private pension schemes. However, some products do not offer appropriate value for money, especially if they are unreasonably expensive.

In 2024, there were around 59 million endowment insurance policies in Germany. That year, 2.4 million new contracts were concluded. Under supervisory law, endowment insurance must offer appropriate value for money. The costs must not overly reduce the return on these products. Bafin has therefore been dealing intensively with the cost burden of the products for several years and already made some progress. There is still a medium risk involved, however.

Legal requirements for the product design

Under the applicable requirements, insurance companies must carry out a product approval process for every newly introduced or significantly modified insurance product. They must define a specific target market for the product. Moreover, they must ensure that the product meets the needs of the target market throughout its entire life cycle, i.e. that it offers appropriate value for money. Where an insurance product is geared towards capital formation, the focus is naturally on the return that policyholders can expect.

Reduction in yield: Bafin has identified significant differences

In addition to the investment performance of the capital investment, costs play a significant role in the return of an endowment insurance policy. Bafin measures these costs on the basis of the reduction in yield. This key figure indicates the extent to which the annual return of an endowment insurance-based savings product is reduced by costs.

The reduction in yield differs considerably among the various providers and products. This was first shown by a Bafin survey in 2022 regarding new business in the first half of 2021.

In individual cases, the reduction in yield amounted to more than 4%. It was only above this cost level that the return achieved actually benefited customers. In such cases, it is doubtful whether there is appropriate value for money for the customer.

In view of this data, Bafin has significantly expanded its conduct of business supervision for endowment insurance policies. A new survey in 2025 regarding new business in 2024 showed that reduction in yield has fallen significantly since 2021, particularly for the unit-linked products that dominate new business. Particularly in the case of long-term products, which are strong sellers, there was a decline in reduction in yield of more than 0.4 percentage points in the upper quarter.

Some life insurance products were found to have very high lapse rates – especially in the first few years after the contract was concluded, which is when a large proportion of the costs are generally incurred. This may indicate that the products were distributed outside their intended target market. For products with a high early lapse rate, the value for money is likely to be inappropriate.

When assessing the appropriateness of the value for money offered by a product, companies must therefore consider the likelihood and consequences of early policy termination if such a termination reflects the needs of the target market. If there is no appropriate value for money, i.e. a product does not meet the needs of the target market, this constitutes an irregularity – and Bafin intervenes.

In response to Bafin's objections, individual providers have withdrawn products from the market. Furthermore, there have been cost reductions for existing customers, alongside retroactive compensation measures. Bafin has also issued warnings to individual managers. This will continue to be a priority for Bafin.

Bafin's line of approach

Bafin will continue to ensure that insurance companies sell endowment insurance policies that offer appropriate value for money. To this end, Bafin will combine clear supervisory expectations with risk-based market surveillance.

Supervisory reviews

- In its supervisory activities, Bafin will continue to check whether the products offered on the market comply with the requirements set out in the Guidance Notice on Aspects of Conduct of Business Supervision for Savings Products, published in May 2023.
- Among other things, Bafin will examine the product approval processes at selected insurance companies. Insurers will be selected on the basis of various risk indicators, such as the reduction in yield, the lapse rate or, if applicable, the individual business model.

- In addition, Bafin will examine insurers that stand out due to high expenses for insurance intermediaries, in particular those that pay high acquisition commissions or reimburse sales partners on behalf of investment companies.

Other areas of conduct of business supervision

In its work regarding conduct of business supervision, Bafin will not focus solely on the risk arising from the costs for endowment insurance policies, but will expand its review activities to include other areas as well:

- Bafin will also take an in-depth look at the issue of value for money during the payout phase of life insurance policies. The profit participation of the insured will play an important role in this process. A survey conducted by Bafin in 2025 showed that more than half of life insurers have currently not declared any risk profit participation, even for newer, adequately calculated products. Bafin will investigate the reasons for this in more detail.
- Furthermore, Bafin will focus on property and casualty insurance in its conduct of business supervision. Here, too, every newly developed or significantly modified insurance product must offer appropriate value for money. A representative survey conducted by Bafin in 2025 showed that, in some cases, there are considerable differences in the premiums charged by property and casualty insurers. Price differentiation should be risk-oriented and transparent. This does not always seem to be the case. Bafin will therefore take a closer look at several price differentiations.
- Costs are not only relevant with regard to insurance products. All financial products must demonstrate value for money in relation to costs.

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Risks for consumers in Bafin's focus 2026

- Consumer financing on credit ↑
- Investments in cryptoassets and the influence of social media on investment behaviour ↑

Editorial deadline: 23 January 2026